BOARD OF DIRECTORS

M.G. Ved
Chairman

Satish Menon
Director

Guhan Subramaniam
Director

Vivek Malhotra
Director

Pankaj Agarwal
Director

HEAD OF INDIAN OPERATIONS AND MANAGER
Shankar Velayudhan

COMPANY SECRETARY AND COMPLIANCE OFFICER
P. Vidya Sagar

REGISTERED OFFICE
16/3, Cambridge Road, Ulsoor, Bangalore 560 008

BANKERS
Axis Bank Ltd.

REGISTRARS AND SHARE TRANSFER AGENTS
Mondkar Computers Private Limited
21, Shakil Niwas, Mahakali Caves Road,
Andheri (East), Mumbai 400 093

SOFTWARE DEVELOPMENT CENTRES
Bangalore:
16/3, Cambridge Road,
Ulsoor, Bangalore - 560 008.

Kolkata:
Millennium City
Information Technology Park,
II-9th Floor, 9 C, Block DN, Plot 62
Sector V, Salt Lake,
Kolkata- 700 091.

Software Technology Park,
SDF Building, Module No.529 & 530,
4th Floor, Sector V, Block EP GP,
Salt Lake Electronics Complex,
Kolkata – 700 091.

CONTENTS

DIRECTORS' REPORT

To,
The Shareholders,
Mindteck (India) Limited

Your Directors are pleased to present the **SIXTEENTH ANNUAL REPORT** of your company along with the audited Statement of Accounts for the financial year ended March 31, 2007.

FINANCIAL RESULTS

Rs. in Million

	Year ended March 31, 2007	Year ended March 31, 2006
Operating income	235.73	194.79
Operating profit	38.39	35.92
Interest	5.81	3.83
Depreciation	8.92	8.70
Profit before tax	23.66	23.39
Provision for tax	1.01	1.70
Profit after tax	22.65	21.69
Earnings per share	2.33	2.23

RESULTS OF OPERATIONS

During the year under review, your company recorded revenues of Rs. 235.73 million, compared to Rs. 194.79 million in the previous financial year, representing a 21 % growth. The operating profit for the current year stands at Rs.40.72 million as against the operating profit of Rs.35.92 million for the previous financial year. The net profit for the year stands at Rs. 22.65 million as compared to the net profit of Rs. 21.69 million in the previous year.

BUSINESS

Mindteck made significant progress both in increasing its business and strengthening its capabilities and offerings to its customers during the year. Your company's wholly owned subsidiary, Mindteck USA Inc. won a large order during the year for re-engineering a set of databases for a Fortune 100 company in the US. This project is being executed at multiple locations and would be completed next year. Your company is executing a series of multiple engagements with this client.

In the embedded space, analytical instrumentation software services continued to do well by adding many clients during this year. The Company plans to continue the aggressive focus on this segment and has also increased offerings in this space by offering electronics design services to its customers. The center of excellence setup for ZigBee Technology is contributing to the business revenues in a big way by way of protocol stack development for semiconductor companies.

The SAP competency center which was setup the previous year, currently has sustained growing revenue streams. The competency center is currently offering implementation and support services to both clients in India and US.

QUALITY

During the year, Mindteck has been retained as ISO 9001:2000 certified company (i.e. Bangalore center) and the Kolkata center was for the first time recommended to be ISO 9001:2000 certified by BVQI.

The company's Information Security Management System was certified compliant with all clauses of ISO 27001:2005.

The Company has recently completed the CMMI SCAMPI Class B Appraisal for CMMI ver 1.2 Level 5. With the continuous improvement in Mindteck's processes and commitment towards quality from its Management and all the employees, the company is all set to achieve the SEI CMMI DEV ver 1.2 – Level 5 by September 2007.

SUBSIDIARIES

Your Company has four wholly owned subsidiaries - Mindteck USA Inc. in the United States, Mindteck Middle-East Ltd in Bahrain, Mindteck Software Malaysia Sdn Bhd in Malaysia and Mindteck BPO Services Private Limited in India.

Section 212 of the Companies Act, 1956 requires your Company to attach the Directors' Report, Balance Sheet, P&L Account of these subsidiaries to the Company's annual report. Your company has secured exemption of the Government of India from complying with this requirement as the audited consolidated financial statements are presented in the annual report. A statement of financial position of the subsidiaries, pursuant to Section 212 of the Companies Act, 1956 is annexed, which forms a part of the Annual Report. An additional statement is also annexed, which details the position as on March 31, 2007 of the capital, reserves, total assets and liabilities, investments, etc. of each of the subsidiaries referred to above, for which the Company has obtained the exemption.

MINDTECK EMPLOYEE STOCK OPTION SCHEME 2005

During the year, the HR & Compensation Committee of the Board granted stock options to the Company's Employees on June 26, 2006, which included both on-going and join-in-grants at a rate of Rs. 34.65 each in the hands of the eligible employees of the Company. This was the closing price of the Company's scrip on the Stock Exchange, Mumbai on a day prior to the date of grant of the options, i.e. June 25, 2006. The Disclosures as per SEBI (Employee Stock Option Scheme and Employee Share Purchase Scheme) Guidelines 1999 are annexed to this Report.

MINDTECK EMPLOYEES WELFARE TRUST

In the year 2000, the Mindteck Employees Welfare Trust was set up to implement the Company's Share Incentive Scheme, which is not covered by SEBI (Employee Stock Option Scheme and Employee Share Purchase Scheme) Guidelines 1999. As on March 31, 2007 the Trust holds 416,000 shares of the Company and has not granted any shares to the Company's employees under the said scheme.

RESPONSIBILITY STATEMENT OF THE BOARD OF DIRECTORS

The directors' responsibility statement setting out the compliance with the accounting and financial requirements specified under Section 217 (2AA) of the Companies (Amendment) Act, 2000, in respect of the financial statements is annexed to this report.

FIXED DEPOSITS

During the period under review, the company has not accepted any deposits under Section 58-A of the Companies Act, 1956.

DIRECTORS

In accordance with provisions of the Companies Act, 1956 and the Company's Articles of Association, the following changes have taken place on the Company's Board during the year:

Mr. Satish Menon retires by rotation as Director of the Company in the coming Annual General Meting and being eligible offers himself for re-appointment.

Mr. K.V Aiyappan stepped down as the Chairman of the Board with effect from November 7, 2006. The Company places on record its appreciation and gratitude to Mr. Aiyappan for the leadership provided by him in successfully steering the Company through difficult times during his tenure. Mr. M.G. Ved has taken over as the Board Chairman effective November 7, 2006.

Mr. Guhan Subramaniam was appointed as an additional director on the Company's Board effective November 7, 2006, while Mr. Pankaj Agarwal and Mr. Vivek Malhotra were appointed as Additional Directors on the Company's Board effective February 9, 2007. All the aforementioned additional directors will hold office until the date of the ensuing Annual General Meeting. It is proposed to re-appoint them as Directors liable to retire by rotation in the Company's forthcoming Annual General Meeting.

AUDITORS

The Company's statutory auditors, M/s. Deloitte Haskins & Sells, Chartered Accountants, who retire at the ensuing Annual General Meeting have indicated their inability to continue as the Company's Statutory Auditors on grounds of conflict of interest since Infotech Consulting Inc., a promoter group company has Deloitte Consulting Outsourcing, LLC as one of its largest customers in the US.

PARTICULARS OF EMPLOYEES

As required under the provisions of section 217(2A) of the Companies Act, 1956, read with the Companies (Particulars of employees) Rules, 1975, as amended, the names and other particulars of employees are set out in the annexure included in this report.

CONSERVATION OF ENERGY, RESEARCH AND DEVELOPMENT, TECHNOLOGY ABSORPTION, FOREIGN EXCHANGE EARNINGS AND OUTGO

Particulars that are required to be disclosed under subsection (1)(e) of Section 217 of the Companies Act, 1956, read with the Companies (Disclosure of Particulars in the Report of Directors) Rules, 1988 are set out in the annexure included in this report.

MATERIAL DEVELOPMENTS AFTER BALANCE SHEET DATE

1. CHANGE IN REGISTERED OFFICE ADDRESS

Effective August 6, 2007, the Company's Registered Office stands shifted within the local limits of Bangalore in the state of Karnataka.

Effective August 6, 2007, the Company's Registered Office address is as under:

Mindteck (India) Limited,
No. 16/3, Cambridge Road,
Ulsoor, Bangalore 560 008.

The Company is listed on the Bombay Stock Exchange Limited and continues to serve its investors by retaining its existing Mumbai based Registrars and Share Transfer Agents, Mondkar Computers Private Limited, 25, Shakil Niwas, Mahakali Caves Road, Andheri (East), Mumbai – 400 093.

2. PROPOSED ACQUISTIONS AND PRIVATE PLACEMENT

The Company's Board at its meeting held on September 3, 2007 has approved the subscription by the company, to the equity of its subsidiary Mindteck BPO Services Pvt. Ltd. ("Mindteck BPO"), to enable Mindteck BPO subject to receipt of all necessary regulatory and corporate approvals, to acquire 100% of the equity share capital of Mindteck Singapore Pte Ltd, Mindteck UK Ltd, Chendle Holdings Ltd. and ICI Tech Holdings Inc. (together the **"Target Companies"**). The Target Companies are proposed to be acquired for a consideration payable in a combination of cash and fresh issue of shares of Mindteck BPO.

CORPORATE GOVERNANCE REPORT

I. COMPANY'S PHILOSOPHY ON CODE OF CORPORATE GOVERNANCE

The Management aims to achieve its objective of increasing shareholder value while consistently observing the norms laid down in the Code of Corporate Governance. The Management has institutionalized Corporate Governance at all levels within the Company in order to ensure transparency, good practices and a systems-driven style of functioning.

The primary responsibility for ensuring corporate governance within the Company rests with the Board, which has put in place, appropriate policies relating to its membership, deliberations, etc. These policies are in consonance with the requirements of the Listing Agreement and SEBI Regulations.

II BOARD OF DIRECTORS

Composition & Other Directorships

Name of Director	Position	Other Directorships	Other Committee Memberships	Chairperson in Committees
Mr. K.V. Aiyappan*	Independent, non-executive Chairman	10	2	2
Mr. M.G. Ved@	Independent, non-executive Chairman	2	Nil	Nil
Mr. Satish Menon	Independent, non-executive director	Nil	Nil	Nil
Mr. Pankaj Agarwal#	Non-executive, promoter director	Nil	Nil	Nil
Mr. Vivek Malhotra #	Independent, non-executive director	2	Nil	Nil
Mr. Guhan Subramaniam**	Independent, non-executive director	8	Nil	Nil

* resigned w.e.f. 07.11.06, @ appointed as Chairman w.e.f. 07.11.06, ** appointed w.e.f. 07.11.06, # appointed w.e.f. 09.02.07

The Company has a mandatory annual requirement for every director to inform the Company about the board/committee membership positions he occupies in other companies and notify the changes, if any. None of the Directors of the Company is on more than 10 committees or is the Chairman of more than 5 committees across all companies in which he is a director.

DIRECTORS' REMUNERATION

The compensation of non-executive directors, if payable, is decided by the Board of Directors, subject to shareholders' and other necessary statutory approvals.

The Board adopts the following criteria while deciding on directors' compensations:

1. The directors should possess a high level of expertise and experience in diverse areas like technology, finance, corporate strategy, M&A, etc. so that they can effectively contribute to the Company's growth objectives.
2. The directors should not be related to other promoter/executive/independent directors. Further, they should not occupy any executive positions in competitor companies.
3. The directors should attend and actively participate in all the board and committee meetings and carry out their general responsibilities as directors without allowing any kind of situation to arise which carries the potential of a conflict of interest

The Company's shareholders in their annual general meeting held on July 29, 2005 have approved payment of sitting fees to the directors for attending meetings of the Board and Audit Committee up to the maximum limit prescribed by the Companies Act, 1956. Presently, the directors receive sitting fees for attending board and committee meetings @ Rs.20, 000/- and Rs.10, 000/- per meeting respectively.

The Company's Board in its meeting held on January 30, 2007 appointed Mr. Shankar Velayudhan as its 'Manager' under the Companies Act, 1956 for a period of 3 years effective January 30, 2007, subject to approval of the Company's shareholders and the Central Government. The Company has applied to the Central Government seeking approval for Mr. Shankar Velayudhan's appointment and remuneration. The application is pending approval.

The Company has obtained Central Government's permission and is currently paying remuneration of Rs.2 lacs per annum to Mr. M. G. Ved for a period of three years effective January 29, 2005, with an annual increase in remuneration @ 25% p.a.

The Company has also obtained Central Government's permission and is currently paying remuneration of Rs. 2 lacs per annum to Mr. Satish Menon for a period of three years effective February 28, 2005 with an annual increase in remuneration @ 25% p.a.

PROVISIONS AS TO BOARD MEETINGS:

Five board meetings were held during the year ended March 31, 2007. The board meetings were held on June 26, 2006, July 31, 2006, October 30, 2006, November 7, 2006 and January 30, 2007. All the information to be provided to the Board as per Annexure-1 of Clause 49 of the Listing Agreement was made available to the board.

The Company's Board reviews and takes on record the statutory compliance reports submitted by the Company Management on a quarterly basis.

CODE OF CONDUCT:

The Company's Board has laid down a Code of Conduct for all its members as well as members of the Senior Management of the Company. The said Code has been posted on the Company's website. All Board and Senior Management members have affirmed compliance with this Code as on March 31, 2007.

Attendance of Directors in Board Meetings & AGM held during year ended March 31, 2007						
Name of the Director	Board Meeting Dates					AGM Date
	June 26, 2006	July 31, 2006	October 30, 2006	November 7, 2006	January 30, 2007	August 28, 2006
Mr.K.V. Aiyappan*	Present	Present	Present	N.A.	N.A.	Present
Mr. M.G. Ved@	Present	Present	Present	Present	Present	Present
Mr. Satish Menon	Present	Present	Present	Present	Present	Present
Mr. Guhan Subramaniam**	N.A.	N.A.	N.A.	Present	Present	N.A.
Mr. Pankaj Agarwal#	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.
Mr. Vivek Malhotra#	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.

* resigned w.e.f. 07.11.06, @ appointed as Chairman w.e.f. 07.11.06, ** appointed w.e.f. 07.11.2006, # appointed w.e.f. 09.02.07

III AUDIT COMMITTEE

The Company has constituted the Audit Committee pursuant to the provisions of the Companies Act. The Committee and has all such additional features / functions as contained in the Listing Agreement.

The terms of reference of the Audit Committee include the objective evaluation of the financial reporting process, recommending the appointment of external auditors, reviewing with the Company Management the annual financial statements before submission to the Board, reviewing the adequacy of the internal control systems/ internal audit function, discussing and reviewing the findings of the internal auditors, discussion with external auditors regarding nature and scope of audit as well as having post audit discussion, reviewing the Company's financial and risk management policies.

Necessary powers are vested with the Audit Committee. Conditions relating to meetings, quorum, etc. have been complied with.

The role of the Audit Committee comprises all recommended terms of reference as contained in Clause 49 of the Listing Agreement.

All the members of the Audit Committee are qualified, non-executive directors of the Board. Mr. K. V. Aiyappan, Mr. M.G. Ved, Mr. Satish Menon, Mr. Guhan Subramaniam, & Mr. Vivek Malhotra are independent members on the Audit Committee.]

Mr. K.V. Aiyappan, a banker, with more than 20 years of experience, was the Chairman of the Audit Committee till his resignation on November 7, 2006.

Mr. M. G. Ved, Chairman of the Audit Committee, effective November 7, 2006, is a practicing Chartered Accountant since 1966 and a fellow member of the Institute of Chartered Accountants of India since 1971. He has vast experience in the fields of auditing, finance, accounts & taxation. The Chairman will be present at the Annual General Meeting to answer shareholders' queries.

Mr. Satish Menon, Member of the Committee, is a legal practitioner with vast experience in the fields of mergers, acquisitions, corporate governance, ethical practices & general commercial transactions.

Mr. Guhan Subramanian, Member of the Committee, is an experienced professional having 28 years of multi functional, multi-industry operations experience.

Mr. Vivek Malhotra, member of the Committee, a qualified chartered accountant, is presently a Director in Population Health Services India.

Mr. P. Vidya Sagar, Company Secretary, who is Secretary to the Committee, was present at all the meetings.

COMPOSITION OF AUDIT COMMITTEE

Name of Director	Position
Mr. K. V. Aiyappan*	Independent, non-executive Chairman
Mr. M.G. Ved @	Independent, non-executive Chairman
Mr. Satish Menon	Independent, non-executive director
Mr. Guhan Subramaniam**	Independent, non-executive director
Mr. Pankaj Agarwal#	Non-executive promoter director
Mr. Vivek Malhotra#	Independent, non-executive director

* resigned w.e.f. 07.11.06, @ appointed as Chairman w.e.f. 07.11.06
** appointed w.e.f. 07.11.2006, # appointed w.e.f. 09.02.2007

DIRECTORS' ATTENDANCE RECORD IN AUDIT COMMITTEE MEETINGS HELD DURING THE YEAR

Name of Director	Meetings held	Meetings attended
K.V. Aiyappan*	4	3
M. G. Ved@	4	4
Satish Menon	4	4
Guhan Subramanian**	4	1
Pankaj Agarwal#	4	0
Vivek Malhotra #	4	0

* resigned w.e.f. 07.11.06, @ appointed as Chairman w.e.f. 07.11.06,
** appointed w.e.f. 07.11.2006, # appointed w.e.f. 09.02.2007

IV HR & COMPENSATION COMMITTEE

The HR & Compensation Committee was constituted to determine the company's policy on remuneration packages on the following terms of reference:

1. To decide on all matters relating to the company's stock option / share purchase schemes including the grant of options/shares to the directors and employees of the Company and/or of its subsidiaries.
2. To determine and make suitable recommendations to the Board in all matters relating to remuneration of the non-executive directors of the Board, executive directors of the Company and its managerial personnel under the Companies Act, 1956.
3. To decide and make suitable recommendations to the Board on any other matter that the Board may entrust the Committee with or as may be required by any statutes/regulations/guidelines/listing agreements, etc.

The Committee held two meetings during the year ended March 31, 2007, i.e. on June 26, 2006 & January 30, 2007.

Name of independent, non-executive director heading the Committee: Mr. M.G. Ved.

ATTENDANCE RECORD IN HR & COMPENSATION COMMITTEE MEETINGS HELD DURING THE YEAR

Name of Director	Meetings held	Meetings attended
K. V. Aiyappan*	2	1
M. G. Ved@	2	2
Satish Menon	2	2
Guhan Subramanian**	2	1
Pankaj Agarwal#	2	0
Vivek Malhotra #	2	0

* resigned w.e.f. 07.11.06, @ appointed as Chairman w.e.f. 07.11.06,
** appointed w.e.f. 07.11.06, # appointed w.e.f. 09.02.07

V SHAREHOLDERS/INVESTORS GRIEVANCES COMMITTEE

The Shareholders / Investors Grievance Committee was formed to undertake responsibilities like redressing shareholder and investor complaints pertaining to transfer of shares, non-receipt of balance sheet, non-receipt of declared dividend, etc. The Company also follows and practices insider trading guidelines.

The Board has delegated powers to its Share Transfer Committee and M/s. Mondkar Computers Pvt. Ltd., Company's Registrars and Share Transfer Agent to attend to share transfer formalities etc. generally once in fifteen days, which are validated by the Share Transfer Committee.

a) Name of independent, non-executive director heading the Committee: Mr. M.G. Ved.

b) Name and designation of compliance officer: P. Vidya Sagar, Company Secretary

	No. of cases outstanding as on April 1, 2006	No. of cases added during the year	No. of cases resolved during the year	No. of cases outstanding as on March 31, 2007
No. of Investor issues	Nil	7	7	Nil
No. of legal cases	Nil	Nil	Nil	Nil

There were no outstanding complaints pending for more than one month. There were no cases, which were not solved to the satisfaction of shareholders.

The Company's Registrars and Share Transfer Agent, M/s. Mondkar Computers Pvt. Ltd., processes shares sent for transfer transmission etc. in 2 batches every month. Hence the share transfer, transmission etc. are effected within stipulated time. There are no physical shares pending transfer beyond the transfer cycle of 30 days.

VI SHAREHOLDERS' INFORMATION

Annual General Meetings

Location and time of last three AGMs held

Date of AGM	Time of AGM	Location
August 28, 2006	4.00 p.m.	Hal Convention Centre, HAL Heritage Centre & Aerospace Museum Bangalore 560 037.
July 29, 2005	4.00 p.m.	The Cultural Centre of Russia, 31-A, Dr. G. Deshmukh Marg, (Pedder Road), Mumbai – 400 026
August 6, 2004	4.00 p.m.	The Cultural Centre of Russia, 31-A, Dr. G. Deshmukh Marg, (Pedder Road), Mumbai – 400 026

No special resolutions were passed in the financial year ended March 31, 2007 and the financial year ended March 31, 2006. During the financial year ended March 31, 2005, the following special resolutions were passed-

- Shifting of Registered Office, under Section 17, of the Companies Act, 1956.
- Payment of remuneration to Mr. M. G. Ved & Mr. Satish Menon, under section 198(4), 309(4), of the Companies Act, 1956.
- Increase in the remuneration of Manager, pursuant to Section 198, 269, 310, 311,312, 317,386,387, read with Schedule XIII, of the Companies Act, 1956.
- To adopt Mindteck Employees Stock Option Scheme, in accordance with Section 81(1A) of the Companies Act, 1956 & SEBI (Employees Stock Option Scheme and Employees Stock Purchase Scheme) Guidelines 1999.
- Payment of sitting fess to the Directors of the Company, under section 309, 310,311 of the Companies Act, 1956.

No special resolutions were passed through the postal ballot procedure during the year ended March 31, 2007.

VII DISCLOSURES

There were no materially significant related party transactions i.e. transactions of the Company of material nature, with its promoters and/or their subsidiaries, Directors or the Management, their relatives, etc., that had potential conflict with the interest of Company at large.

No penalties were imposed on the Company by the stock exchange or SEBI or any other statutory authority on any matter related to capital market during the last three years.

VIII COMMUNICATION WITH THE SHAREHOLDERS

The Company informs the shareholders, on appointment or re-appointment of a Director and provides a brief resume of the Director, his/her expertise and names of companies in which he/she holds directorships and committee memberships.

During the year, all quarterly results were sent to the stock exchange where the Company's equity shares are listed and posted on the company's website (www.mindteck.com). All the quarterly results have been published during the year. The results were published in Business Standard, Kannada Prabha, Usha Kiran & Times of India- Bangalore. The Company's web site also displays official news releases.

Please also refer section on Shareholder's Information in this annual report.

IX MANAGEMENT

A Management Discussion and Analysis report has been included in this annual report. During the year under review, there were no instances of any material financial and commercial transactions in which the management had personal interest that had a potential conflict with the interest of the Company at large.

X COMPLIANCE

The statutory auditors' certificate certifying compliance of Corporate Governance conditions as laid down in the listing agreement is annexed.

On behalf of the Board of Directors

M. G. Ved
Chairman

Bangalore
29th June, 2007

SHAREHOLDERS' INFORMATION

AGM: Date, Time and Venue	Friday, September 28, 2007 at 4.00 P.M. at HAL Convention Centre, Next to HAL Heritage Centre & Aerospace Museum, Bangalore-560037
Financial Calendar	1st April 2006 to 31st March, 2007
Book Closure dates	September 20, 2007 to September 28, 2007 (both days inclusive)
Dividend Payment Date	Within stipulated period from the date of the AGM, if declared by the members.
Listing on Stock Exchanges & Stock code	The Stock Exchange, Mumbai - 517344
Registrar and transfer Agents	M/s. Mondkar Computer Pvt. Ltd., 25, Shakil Niwas, Mahakali Caves Road, Andheri (East), Mumbai – 400 093.
Share transfer System	The Company's Registrars and Share Transfer Agent, M/s. Mondkar Computers Pvt. Ltd., processes shares sent for transfer transmission etc. in 2 batches every month. Hence, the share transfer, transmission etc. are effected within stipulated time. Transfers/transmission, which are complete in all respects, are processed and the certificates in respect thereof are returned to the lodger/shareholder within 30 days of lodgment.
Dematerialization of shares and liquidity	Effective August 28, 2000 it has become compulsory to trade Company's shares in dematerialized form. Since the shares of the Company are falling under compulsory demat category, the chances of fraudulent interception, etc. have been reduced considerably. The Company continues to receive requests for demat on a regular basis and the same is being facilitated through the Depository Services provided by National Securities Depository Ltd. and Central Depository Services Ltd. The Company, in co-ordination with its Registrars & Share Transfer Agents, M/s. Mondkar Computers Pvt. Ltd. facilitates simultaneous transfer of shares and dematerialization. This reduces correspondence, time and effort of all shareholders by ensuring maximum investor satisfaction and transparency.
Software Development Centers	**Bangalore:** 16/3, Cambridge Road, Ulsoor, Bangalore - 560 008. **Kolkata:** Millennium City Information Technology Park, II-9th Floor, 9 C, Block DN, Plot 62 Sector V, Salt Lake, Kolkata- 700 091. Software Technology Park, SDF Building, Module No.529 & 530, 4th Floor, Sector V, Block EP GP, Salt Lake Electronics Complex, Kolkata – 700 091.
Compliance Officer and Registered Office Address for correspondence	P. Vidya Sagar, Compliance Officer, Mindteck (India) Limited 16/3, Cambridge Road, Ulsoor, Bangalore - 560008.

• Market Price Data: High, Low of Company's equity shares on the Stock Exchange, Mumbai during each month in the year ended March 31, 2007

Month	Sensex		Share Price		Trade	
	High	Low	High.	Low	No. of shares traded	Value
			Rs	Rs.		Rs.
April 2006	12042.56	11237.23	45.00	36.90	100,373	4,184,240
May 2006	12612.38	10398.61	43.00	34.75	116,024	4,587,865
June 2006	10451.33	8929.44	35.50	26.25	73,682	2,372,086
July 2006	10930.09	10007.34	34.60	28.05	44,462	1,360,740
August 2006	11723.92	10751.66	49.40	31.50	226,464	10,395,654
September 2006	12454.42	11550.69	44.05	41.05	106,383	4,576,531
October 2006	13024.26	12204.01	48.50	41.95	148,067	6,801,030
November 2006	13844.78	13091.12	44.90	42.25	101,769	3,467,003
December 2006	13949.00	12995.02	45.65	38.00	59,871	2,615,124
January 2007	14282.72	13362.16	52.60	45.95	328,259	16,688,063
February 2007	14652.09	12886.13	50.75	42.40	97,310	4,588,721
March 2007	13308.03	12415.04	42.75	31.80	60,639	2,175,639

• Performance in comparison to broad-based BSE Index & BSE IT Index

Month	Share Price (Rs.)	* BSE Index	BSE IT Index
Apr 2006	37.60	12042.56	4034.92
May 2006	35.20	10398.61	3642.67
Jun 2006	35.50	10609.25	3743.32
Jul 2006	30.00	10743.88	3951.13
Aug 2006	43.40	11699.05	4286.42
Sept 2006	42.00	12454.42	4393.56
Oct 2006	46.20	12961.90	4821.98
Nov 2006	44.40	13696.31	5107.22
Dec 2006	44.60	13786.91	5272.56
Jan 2007	48.75	14090.92	5297.17
Feb 2007	45.40	12938.09	4869.99
Mar 2007	37.00	13072.10	4899.39

* indicates closing price on last day of month

• Distribution of Shareholding as on March 31, 2007

Range	Shareholders		Shares	
No. of Shares	Numbers bers	% to Total	Numbers	% to Total
1– 5008025	95.456	559981	5.758	
501 – 1000	211	2.510	174421	1.793
1001 – 2000	88	1.047	132454	1.362
2001 – 3000	28	0.333	69679	0.716
3001 – 4000	9	0.107	31947	0.328
4001 – 5000	9	0.107	40345	0.415
5001 – 10000	20	0.238	155721	1.601
10001 & above	17	0.202	8561016	88.026
Total	**8407**	**100.000**	**9725564**	**100.000**

• Shareholding Pattern as on March 31, 2007

	Shareholder Category	No. of Shares	%age
1.	Promoters	7,639,004	78.55
2.	Mindteck Employees Welfare Trust	416,000	4.28
3.	Public	1,670,560	17.17
	Total	**9,725,564**	**100.00**

AUDITORS' CERTIFICATE

Auditors' certificate to the members of Mindteck (India) Limited on compliance of conditions of corporate governance for the year ended March 31, 2007, under clause 49 of the listing agreements with the relevant Stock Exchanges.

We have examined the compliance of conditions of corporate governance by Mindteck (India) Limited(the "Company") for the year ended March 31, 2007 as stipulated in Clause 49 of the Listing Agreement of the said company with the relevant Stock Exchanges.

The compliance of conditions of corporate governance is the responsibility of the management. Our examination is limited to procedures and implementation thereof, adopted by the Company for ensuring the compliance of the conditions of the Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the Company.

In our opinion and to the best of our information and according to the explanations given to us and the representation made by the management, we certify that the Company has complied with the conditions of Corporate Governance as stipulated in the abovementioned Listing Agreement.

We state that no investor grievances are pending for a period exceeding one month as on March 31, 2007 against the Company as per the records maintained by the Shareholders/ Investors Grievance Committee.

We further state that such compliance is neither an assurance as to the future viability of the Company nor the efficiency or effectiveness with which the management has conducted the affairs of the company.

for **Deloitte Haskins & Sells**
Chartered Accountants

S.Ganesh
Partner
M. No.: 204108

Bangalore
June 29, 2007

Manager and Company Secretary Certification

We, Shankar Velayudhan, 'Manager', under the Companies Act, 1956 and P. Vidya Sagar, 'Company Secretary' of Mindteck (India) Limited, to the best of our knowledge and belief, certify that:

(a) we have reviewed financial statements and the cash flow statement for the year ended March 31, 2007 and that to the best of our knowledge and belief :
  - (i) these statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading;
  - (ii) these statements together present a true and fair view of the company's affairs and are in compliance with existing accounting standards, applicable laws and regulations.

(b) There are, to the best of our knowledge and belief, no transactions entered into by the company during the year which are fraudulent, illegal or violative of the company's Code of Ethics.

(c) we accept responsibility for establishing and maintaining internal controls and that we have evaluated the effectiveness of the internal control systems of the company and we have disclosed to the auditors and the Audit Committee, deficiencies in the design or operation of internal controls, if any, of which we are aware and the steps we have taken or propose to take to rectify these deficiencies.

(d) we have indicated to the auditors and the Audit committee:
  - (i) significant changes in internal control during the year;
  - (ii) significant changes in accounting policies during the year, if any, and that the same have been disclosed in the notes to the financial statements; and
  - (iii) instances of significant fraud, if any, of which we have become aware and the involvement therein, if any, of the management or an employee having a significant role in the company's internal control system.

SHANKAR VELAYUDHAN
MANAGER

P. VIDYA SAGAR
COMPANY SECRETARY

Bangalore
June 29, 2007

Management's Discussion and Analysis of Financial Condition and Results of Operations

A. Business Overview

Mindteck (India) Ltd. creates value for its customers by offering engineering and IT services in selected areas. Mindteck's core offerings are in product engineering in the embedded space, SAP implementation and professional consulting.

In the embedded space, Mindteck is a leading design house for electronics design, firmware and software in key vertical areas of analytical instruments, semiconductor fab equipments, medical instruments and in high end storage products. Centers of Excellence in these vertical areas provide high end consulting to our clients from product conceptualization, identifying key technologies, architecture design, and product realization all the way to transitioning the product to manufacturing.

SAP practice provides services in the areas of implementation, roll outs, application integration and support, upgrades and data archival. These services are focused in the discrete manufacturing, construction, oil & gas and consumer products.

Mindteck offers a broad range of professional consulting services for custom application development, application management, reengineering, validation and verification across the spectrum.

Each of the businesses are driven by the respective business heads, supported by sales and marketing teams from the Company's subsidiaries and fellow subsidiaries in various geographies. Domain and technology experts in each of these businesses work with the business development team in aggressively growing the revenues, continuously improving capabilities in key offerings and constantly seeking to increase the value offered to the Company's clients.

B The Current Operating Environment and Outlook

India's software services industry continues to remain in the forefront of the country's IT industry. India's success in the software arena is attributed to the software industry's knowledge and expertise in cutting edge technologies and skilled manpower base. Both these strengths are likely to contribute towards the industry's future growth.

The Company is continuing with several initiatives aimed at strengthening its competitive position by enhancing its offerings, seeking higher penetration into existing customers, developing new customers and by expanding geographically.

C. Competitive Environment

The IT services market is competitive with a large number of offshore software service companies and IT outsourcing companies. The Company competes with internal IT departments of its customers for business as well. In the future, the Company expects competition from companies establishing captive development centers in India and other lower cost locations.

Mindteck's differentiators in this competitive environment are its global delivery capabilities, deep domain expertise and excellent relationship management. The company's global delivery capabilities enable it to provide a number of options to its customers in terms of skills, price points and time zones. Its industry expertise is built by developing unique combinations of domain and technology knowledge components that can be combined flexibly and swiftly to produce solutions of value. The Company's relationship management processes are founded on trust and strive to build long term partnerships with customers so that the cost and quality of its deliverables can be continuously improved.

D. Revenue Contribution from Geographic Segments

During the year under review the Company derived 94 % of its revenue from the US. In order to reduce this dependence on the US market, the Company has been making efforts to geographically diversify in Malaysia, Mindteck Middle East and Europe. Post-consolidation of the Mindteck entities, the Company will have access to the Singapore and UK markets.

E. Risks

The Company has established a comprehensive Enterprise Risk Management Program, which aims at assessing and controlling risk through a clearly defined framework. This framework is largely based on the recommendations of the Committee of Sponsoring Organizations (COSO). The Company's Risk Management Program identifies and assesses risks at enterprise and functional levels and provides mitigation measures with adequate monitoring mechanisms.

The Company is faced with numerous external and internal risks in the pursuit of its business endeavors. Some of the important ones are as under:

a) Macro Economic Factors

The year under review has been dominated by inflationary pressures and hardening interest rates resulting in intense pressure on prices. To offset these pressures, the company has improvised on and expanded its service offerings to stay competitive in the market place.

b) Exchange Rate Fluctuations

The Company's functional currency is the Indian Rupee. Substantially, all of the Company's revenues are generated in US Dollars while most of its expenses are incurred in Indian Rupees. The appreciation of the Rupee against the US Dollar adversely impacts the Company's profitability and operating results.

The Company seeks to meet expenses through receipts in the same currency. The Company also seeks to reduce the effect of exchange rate fluctuations on operating results by purchasing foreign exchange forward contracts to cover a portion of its outstanding receivables.

c) Increased Manpower Costs

The rapid growth of the software services industry in India and the increase in demand for a skilled talent pool maintains a constant pressure on manpower costs, which constitute a substantial component of the company's overall operating cost structure. Hence the company runs the risk of its margins being adversely affected by increased manpower costs, especially during inflationary times.

The Company seeks to mitigate this risk by ensuring a right mix of resources, providing younger people in the organization with opportunities to take up higher responsibilities with careful mentoring and increasingly building in a variable component in the compensation structures of its employees.

d) Concentration – Geographic and Technological

The Company's business today is predominantly derived from the US, chiefly from embedded systems offerings.

To mitigate this risk of geographical and technological concentration, the Company is constantly seeking to widen the range of its service offerings as well as to expand in newer geographies like Europe, A-Pac, etc. both through organic and inorganic growth.

e) Delivery

The Company's delivery involves risks of quality and time/cost overruns, to mitigate which the Company constantly develops and improves on its software engineering processes. Towards this end, the Company has adopted the Software Engineering Institute's Capability Maturity Model (SEI-CMM) and is on course for CMM Level 5 certification during the course of this current year. This model ensures that risks are identified and measures are taken to mitigate them at the project planning stage itself.

f) Human Resource Management

The Company is heavily dependent on its ability to attract and retain a resource pool of skilled software engineers in order to deliver on its commitments to its customers. In order to retain key employees, the Company invests in their training and other developmental programs, apart from running a stock option plan for wealth creation in the hands of its employees.

F. Internal Control Systems

Internal control systems in the Company have been put in place to ensure that the Company's assets are safeguarded, that transactions comply with the Management's authorization and are properly and promptly recorded and that accounting records are adequate for the preparation of annual/quarterly financial statements.

Internal audits are performed on a quarterly basis periodically to ascertain the adequacy and effectiveness of internal control systems. The audit committee of the Board periodically reviews the functions of internal audit.

G Financial Condition

Share capital

The authorized share capital of the company is Rs. 200 million divided into 15 million equity shares of par value Rs. 10 each and 500,000 cumulative non-convertible redeemable preference shares of Rs. 100/- each. There has been no change in the issued, subscribed and paid up capital over the last year which stands at Rs. 97.26 million as on March 31, 2007.

During the year, the Company granted 179,900 (Previous Period 256,017) options to its employees under the Company's Stock Option Scheme, 2005 out of which 291,300 (Previous Period 235,317) options were outstanding as on March 31, 2007. None of these options had vested as on March 31, 2007.

Reserves & Surplus

The balance retained in the Profit and Loss Account is Rs 34.07 million. The total shareholder funds of the Company increased to Rs 218.73 million as of March 31, 2007 from Rs 208.82 million as of the previous year end.

Secured Loans

The company has credit facilities with UTI Bank Ltd.

Borrowings under these facilities are secured against the company's property at Kolkata and the book debts of the company. The Company has also availed of a term loan of Rs. 20.00 million from UTI Bank Ltd. during the year to finance purchase of computer equipment. The borrowings as on March 31, 2007 stood at Rs. 67.34 million (Previous Period 35.69 million).

Fixed Assets

During the year, the Company added Rs. 12.84 million (Previous Period Rs. 16.14 million) to its gross block of assets that included investments in computers and software of Rs. 11.73 (Previous Period 11.58 million). The company also retired assets with a gross block of Rs. 0.04 million (Previous Period Rs. 5.02 million) and a net book value of Rs. 0.02 million (Previous Period Rs. 0.33 million).

Investments

As on date, your Company has four wholly owned subsidiaries - Mindteck USA Inc. in the United States, Mindteck Middle-East Ltd in Bahrain, Mindteck Software Malaysia Sdn Bhd in Malaysia and Mindteck BPO Services Private Limited in India.

Current Assets

Sundry debtors increased from Rs. 93.26 million as on March 31, 2006 to Rs. 105.88 million as on March 31, 2007. These debtors are considered good and realizable.

Cash and Bank Balances reduced to Rs.6.40 million from Rs.6.82 million. These balances include both rupee accounts and foreign currency accounts.

Advances are amounts paid in advance for value and services to be received in future. Advance income tax represents payments made towards current tax liability as well as refunds due for the previous years. Advances to staff are recoverable within a year.

Current liabilities and provisions

Current liabilities and provisions have increased to Rs. 39.59 million as on March 31, 2007 from Rs. 33.51 million as of March 31, 2006. Sundry creditors represent amounts payable to vendors for the supply of goods and services. Provision for taxation represents estimated income tax liabilities.

In compliance with the Accounting Standard 22 issued by the Institute of Chartered Accountants of India, the company has not recognized any deferred tax assets/ liabilities. In fact the timing difference relating mainly to depreciation and unabsorbed losses results in a Net Deferred Asset and has not been recognized as a measure of prudence.

H. Results of Operations

Income

Income from operations for the year was Rs. 235.73 million against Rs. 194.79 million recorded in the previous year which represents a growth rate in income of 21 %.

The company's revenues are generated principally from offshore software development services. These services are delivered either on a fixed price basis or on a time and material basis.

The growth in revenues was achieved largely through a growth in business volume.

Expenditure

The manpower cost for the year was Rs. 136.88 million against Rs. 108.89 million in the previous period. As a percentage of revenue, manpower costs have increased to 58.07% from 55.90% during the previous period. Manpower costs consist of salaries paid to employees in India and include overseas staff expenses. Consultancy charges represent the cost of sub-contractors used for software development activities.

The operational and administrative expense for the year was Rs. 77.95 million when compared to Rs.62.18 million incurred in the previous period.

The finance expenses increased to Rs. 5.81 million from Rs. 3.83 million in the previous period.

The company provided Rs. 8.92 million for depreciation compared to Rs. 8.70 million that was provided in the previous period.

The company has made a provision for fringe benefit tax of Rs. 1.01 million.

Other Income

Other income earned was Rs. 17.52 million against Rs. 12.38 million earned in the previous period. This includes dividend of Rs 18.31 million declared by the Company's wholly owned subsidiary Mindteck USA Inc. Other income includes interest received on deposits with banks, rent received, exchange difference, reversal of excess provision of earlier years and other miscellaneous income.

Net Profit

Net profit for the year amounted to Rs. 22.65 million against Rs. 21.69 million recorded in the previous year.

I Human Resources

The total number of employees decreased from 240 as on March 31, 2006 to 222 as on March 31, 2007. To reduce attrition levels, the Company has implemented a number of programs that include global exposure, competitive compensation packages and a stock option plan.

AUDITORS' REPORT

TO THE MEMBERS OF MINDTECK (INDIA) LIMITED

1. We have audited the attached Balance Sheet of Mindteck (India) Limited as at 31st March, 2007 and also the Profit and Loss Account and the Cash Flow Statement of the Company for the year ended on that date, annexed thereto. These financial statements are the responsibility of the Management of the Company. Our responsibility is to express an opinion on these financial statements based on our audit.

2. We conducted our audit in accordance with auditing standards generally accepted in India. These Standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes, examining on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by the Management as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

3. As required by the Companies (Auditor's Report) Order, 2003 issued by the Central Government of India in terms of Section 227 (4A) of the Companies Act, 1956, we enclose in the Annexure, a statement on the matters specified in paragraphs 4 and 5 of the said Order; to the extent applicable to the Company.

4. Further to our comments in the Annexure referred to above, we report that:

   (a) we have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purposes of our audit;

   (b) in our opinion, proper books of account as required by law have been kept by the Company, so far as it appears from our examination of the books;

   (c) the Balance Sheet, the Profit and Loss Account and the Cash Flow Statement dealt with by this report are in agreement with the books of account;

   (d) in our opinion, the Balance Sheet, the Profit and Loss Account and Cash Flow Statement dealt with by this report are in compliance with the Accounting Standards referred to in Section 211 (3C) of the Companies Act, 1956;

   (e) On the basis of the written representations from the directors, taken on record by the Board of Directors, none of the directors is disqualified as on 31st March, 2007 from being appointed as a director under Section 274 (1)(g) of the Companies Act, 1956;

5. In our opinion and to the best of our information and according to the explanations given to us, the said accounts give the information required, by the Companies Act, 1956, in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India:

   (i) in the case of the Balance Sheet, of the state of affairs of the Company as at 31st March, 2007;

   (ii) in the case of the Profit and Loss Account, of the profit for the year ended on that date; and

   (iii) in the case of the Cash Flow Statement, of the cash flows for the year ended on that date

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for **Deloitte Haskins & Sells**
Chartered Accountants

S.Ganesh
Partner
M. No.: 204108

Bangalore
June 29, 2007

ANNEXURE REFERRED TO IN PARAGRAPH 3 OF OUR REPORT OF EVEN DATE

1. The nature of the Company business/activities during the year is such that the Clauses i (c), ii, iii (b) to (d), (f), (g), v (b), vi, viii, x, xi, xii, xiii, xiv, xv, xvi, xviii, xix and xx are not applicable.

2. The Company has maintained proper records showing full particulars, including quantitative details and situation of fixed assets. Some of the fixed assets were physically verified during the period by the management in accordance with a program of verification, which in our opinion provides for physical verification of all the fixed assets at reasonable intervals. According to the information and explanation given to us no material discrepancies wre noticed on such verification.

3. According to the information and explanations given to us, during the year the Company has not granted or taken any loans, secured or unsecured to or from companies, firms or other parties listed in the register maintained under Section 301 of the Companies Act, 1956.

4. In our opinion and according to the information and explanations given to us, there are adequate internal control procedures commensurate with the size of the Company and the nature of its business for the purchase of inventory and fixed assets and for the sale of goods and services and we have not observed any continuing failure to correct the major weaknesses in such internal controls.

5. To the best of our knowledge and belief and according to the information and explanations given to us there are no contracts or arrangements that need to be entered in the register maintained in pursuance of Section 301 of the Companies Act, 1956.

6. In our opinion, the internal audit functions carried out during the period by an independent firm of Chartered Accountants appointed by the management have been commensurate with the size of the Company and the nature of its business.

7. In respect of Statutory dues:

   a) According to the information and explanations given to us, the Company has been regular in depositing undisputed statutory dues, including Provident Fund, Investor Education and Protection Fund, Employees' State Insurance, Income-tax, Sales-tax, Wealth Tax, Service tax, Custom Duty, Excise Duty, cess and any other material statutory dues with the appropriate authorities during the period and there are no undisputed statutory dues outstanding for a period of more than six months from the date they became payable as at the balance sheet date.

   b) According to the According to the information and explanations given to us, there are no dues of sales tax, customs duty, wealth tax, service tax, excise duty and cess which have not been deposited as on March 31, 2007 on account of any dispute.

8. According to the information and explanations given to us, and on an overall examination of the balance sheet of the Company, funds raised on short term basis have, *prima facie,* not been used during the period for long term investment.

9. To the best of our knowledge and belief and according to the information and explanations given to us, no fraud on or by the Company was noticed or reported during the year.

for **Deloitte Haskins & Sells**
Chartered Accountants

S.Ganesh
Partner
M. No.: 204108

Bangalore
June 29, 2007

BALANCE SHEET AS AT 31ST MARCH 2007

	Schedule	Rupees	As At 31-3-2007 Rupees	As At 31-3-2006 Rupees
SOURCES OF FUNDS :				
SHAREHOLDERS FUNDS :				
Share Capital	1		**97,255,640**	97,255,640
Reserves & Surplus	2		**121,478,747**	111,568,207
			218,734,387	208,823,847
LOAN FUNDS :				
Secured Loans	3		**67,342,834**	35,694,050
TOTAL			**286,077,221**	244,517,898
APPLICATION OF FUNDS :				
FIXED ASSETS	4			
Gross Block		**94,378,843**		81,538,692
Less : Depreciation		**46,562,675**		37,659,200
Net Block			**47,816,168**	43,879,492
Capital Work in Progress (at Cost, including advances)			**-**	556,671
			47,816,168	44,436,163
INVESTMENTS	5		**62,942,792**	62,942,792
CURRENT ASSETS, LOANS AND ADVANCES				
Interest Accrued but not due		**-**		22,748
Sundry Debtors	6	**105,875,245**		93,268,697
Cash & Bank Balances	7	**6,403,618**		6,827,754
Loans & Advances	8	**102,633,136**		70,503,598
			214,911,999	170,622,798
LESS : CURRENT LIABILITIES AND PROVISIONS	9			
Current Liabilities		**21,549,063**		16,796,273
Provisions		**18,044,675**		16,718,143
			39,593,738	33,514,415
NET CURRENTS ASSETS			**175,318,261**	137,108,382
MISCELLANEOUS EXPENDITURE [To the extent not written off]	10		**-**	30,560
TOTAL			**286,077,221**	244,517,898
ACCOUNTING POLICIES AND NOTES TO ACCOUNTS	16			
The schedules referred to above form an integral part of the accounts				

As per our report of even date
For **DELOITTE HASKINS & SELLS**
Chartered Accountants

S Ganesh
Partner

Place : Bangalore
Date : June 29, 2007

For and on behalf of the Board

M. G. Ved
Chairman

Pankaj Agarwal
Director

Guhan Subramaniam
Director

Vivek Malhotra
Director

Satish Menon
Director

P Vidya Sagar
Company Secretary

Place : Bangalore
Date : June 29, 2007

PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH 2007

	Schedule	Rupees	Year Ended 31-03-2007 Rupees	Year Ended 31-03-2006 Rupees
INCOME				
Income from Operations	11		**235,726,348**	194,791,538
Other Income	12		**17,521,471**	12,384,680
TOTAL			**253,247,819**	207,176,218
EXPENDITURE				
Manpower Costs	13	**136,882,982**		108,883,822
Operating and Administration Expenses	14	**77,947,707**		62,184,439
			214,830,689	171,068,261
Financial Charges	15		**5,805,830**	3,831,600
Depreciation	4		**8,921,674**	8,705,279
Miscellaneous Expenditure Written off	10		**30,560**	183,351
TOTAL			**229,588,753**	183,788,491
Profit/(Loss) before Taxation			**23,659,066**	23,387,727
Taxation				
- Current tax			**-**	905,000
- Fringe Benefit Tax			**1,006,160**	790,672
- Deferred Tax (Refer Note B 6)			**-**	-
Profit/(Loss) after Taxation			**22,652,906**	21,692,055
Surplus/(Loss) brought forward from previous year		**12,286,026**		
Less:- Transitional provision as per revised AS 15 (Refer Note B 9)		**863,942**	**11,422,084**	1,683,545
Balance available for appropriation			**34,074,990**	23,375,600
Proposed Dividend			**9,725,564**	9,725,564
Corporate Dividend Tax			**1,652,860**	1,364,010
Balance Carried to Balance Sheet			**22,696,567**	12,286,026
TOTAL			**34,074,990**	23,375,600)
Basic and Diluted Earning Per Share (Refer Note B 13				
- Earning per Share of Equity Share of Rs.10 each - Basic			**2.33**	2.23
- Earnings per Share of Equity Share of Rs.10 each - Diluted			**2.26**	2.18
ACCOUNTING POLICIES AND NOTES TO ACCOUNTS	16			
The schedules referred to above form an integral part of the accounts				

As per our report of even date
For **DELOITTE HASKINS & SELLS**
Chartered Accountants

S Ganesh
Partner

Place : Bangalore
Date : June 29, 2007

For and on behalf of the Board

M. G. Ved
Chairman

Pankaj Agarwal
Director

Guhan Subramaniam
Director

Vivek Malhotra
Director

Satish Menon
Director

P Vidya Sagar
Company Secretary

Place : Bangalore
Date : June 29, 2007

SCHEDULES ANNEXED AND FORMING PART OF THE BALANCE SHEET AS AT 31ST MARCH 2007

	Rupees	As at 31-3-2007 Rupees	As at 31-3-2006 Rupees
SCHEDULE - 1			
SHARE CAPITAL			
AUTHORISED			
15,000,000 Equity Shares (Previous Year 15,000,000) of Rs. 10/- each		**150,000,000**	150,000,000
500,000 Cumulative Non-Convertible Redeemable Preference Shares (Previous Year 500,000) of Rs. 100/- each		**50,000,000**	50,000,000
TOTAL		**200,000,000**	200,000,000
ISSUED, SUBSCRIBED AND PAID UP			
9,725,564 Equity Shares (Previous Year 9,725,564) of Rs. 10/- each fully paid up Of the above,		**97,255,640**	97,255,640
1. 251,680 Equity Shares (Previous Year 251,680) of Rs. 10/- each are allotted for consideration other than cash to the Shareholders of erstwhile Nicco Infotech Ltd pursuant to the amalgamation			
2. 2,850,000 Equity Shares (Previous Year 2,850,000) of Rs. 10/- each are alloted as fully paid up for Consideration other than cash			
3 a. 7,377,257 Equity shares (Previous Year 7,377,257) are held by Embtech Holding Limited, Marutius the holding company			
b. 416,000 Equity Shares (Previous Year 416,000) are held by Mindteck Employees Welfare Trust			
TOTAL		**97,255,640**	97,255,640
SCHEDULE - 2			
RESERVES & SURPLUS			
Capital Reserve			
Opening Balance		**35,689,935**	35,689,935
		35,689,935	35,689,935
Securities Premium			
Opening Balance		**63,092,246**	63,092,246
		63,092,246	63,092,246
General Reserve			
Opening Balance		**500,000**	500,000
Less:- Transitional provision as per revised AS 15 (Refer Note B9)		**500,000**	500,000
Surplus in Profit and Loss Account		**22,696,567**	12,286,026
TOTAL		**121,478,747**	111,568,207
SCHEDULE - 3			
SECURED LOANS			
From a Scheduled Bank			
- Cash credit facilities		**52,160,920**	35,694,050
- Term loan (Amount repayable within one year Rs.6,666,660/- (Previous year - Nil))		**15,181,914**	-
TOTAL		**67,342,834**	35,694,050

The above borrowings are secured by :

1) Equitable mortagage of property at Kolkatta
2) First charge on Fixed Assets of the Company.
3) Fixed depostis aggregating to Rs.5,000,000/- (Previous Year Rs.5,000,000/-) with lien marked in favour of the Bank.
4) Exclusive charge on the assets created out of Term Loan.

MINDTECK (INDIA) LIMITED
FIXED ASSETS
SCHEDULE 4

	GROSS BLOCK (AT COST)				DEPRECIATION				NET BLOCK	
ASSETS	As at 01.04.2006	Additions during the period	Deletions	As at 31.03.2007	As at 01.04.2006	Additions during the period	Deletions	As at 31.03.2007	As at 31.03.2007	As At 31.03.2006
INTANGIBLE ASSETS:										
GOODWILL (Arising on acquisition)	7,000,000			7,000,000	1,400,000	1,400,000	-	2,800,000	4,200,000	5,600,000
TANGIBLE ASSETS:										
COMPUTER EQUIPMENTS (INCL. SOFTWARE)	50,020,136	11,728,613	-	61,748,749	31,035,266	6,583,473	-	37,618,739	24,130,010	18,984,870
OFFICE EQUIPMENTS	7,677,715	1,105,440	-	8,783,155	1,572,693	376,030	-	1,948,723	6,834,432	6,105,022
FURNITURE & FIXTURES	5,724,218	46,197	40,100	5,730,315	2,307,892	355,548	18,200	2,645,240	3,085,075	3,416,326
VEHICLES	-	-	-	-	-	-		-	-	-
OTHER EQUIPMENTS	960,103	-	-	960,103	174,712	41,072		215,785	744,318	785,391
LEASE HOLDINGS	10,156,520	-	-	10,156,520	1,168,637	165,551		1,334,188	8,822,332	8,987,883
TOTAL	**81,538,692**	**12,880,250**	**40,100**	**94,378,843**	**37,659,200**	**8,921,674**	**18,200**	**46,562,675**	**47,816,168**	**43,879,492**
PREVIOUS YEAR	65,895,603	16,144,876	501,787	81,538,692	29,121,614	8,705,279	167,693	37,659,200	43,879,492	

SCHEDULES ANNEXED AND FORMING PART OF THE BALANCE SHEET AS AT 31ST MARCH 2007

	Rupees	As at 31-3-2007 Rupees	As at 31-3-2006 Rupees
SCHEDULE - 5			
INVESTMENTS : Long Term, Unquoted (At Cost)			
In shares of Wholly owned Subsidiaries : (Trade)			
(1) 433 Common Stock (Shares) at $ 5000 Par Value (Previous Year 433) of Mindteck USA Inc, USA formerly known as Mindteck Consulting Inc.,		**57,596,220**	57,596,220
(2) 500 Common Stock (Shares) of BD 100 Par Value (Previous Year 500) of Mindteck Middle East SOC		**1,830,360**	1,830,360
(3) 50,000 Common Stock (Shares) at Rs 10/- Par Value (Previous Year 50,000) of Mindteck BPO Services Pvt Ltd		**500,000**	500,000
(4) 250,000 Common Stock (Shares) at RM 1.00 Par Value (Previous Year 250,000) of Mindteck Software Malaysia SDN. BHD		**3,016,212**	3,016,212
TOTAL		**62,942,792**	62,942,792
SCHEDULE - 6			
SUNDRY DEBTORS (Unsecured)			
A. Debts Outstanding for a period exceeding six months			
Considered good		**7,012,074**	573,673
Considered doubtful		**1,425,027**	688,487
B. Others Debts			
Considered good		**98,863,171**	92,695,024
		107,300,272	93,957,184
Less: Provision For Doubtful Debts		**(1,425,027)**	(688,487)
TOTAL		**105,875,245**	93,268,697
The above includes due from Subsidiaries - Rs. 95,901,307/- (Previous Year Rs. 76,813,185) Refer note B(11)			
SCHEDULE - 7			
CASH AND BANK BALANCES			
Cash on Hand		**7,036**	34,108
Balances with Scheduled Banks:			
In Current Accounts		**650,642**	1,352,896
In Deposit Accounts		**5,745,940**	5,440,750
(Pledged for margin money Rs.160,543/- (Previous Period Rs. 160,543/-) with Banks and Government Authorities)			
[Pledged for Secured Loans Rs 5,000,000/- (Previous Period Rs 5,000,000/-)]			
TOTAL		**6,403,618**	6,827,754

SCHEDULES ANNEXED AND FORMING PART OF THE BALANCE SHEET AS AT 31ST MARCH 2007

	Rupees	As at 31-3-2007 Rupees	As at 31-3-2006 Rupees
SCHEDULE - 8			
LOANS AND ADVANCES			
(Unsecured, considered good unless otherwise stated)			
Advances recoverable in cash or kind or for value to be received			
Mindteck Employees Welfare Trust [Note B 2]		**40,113,982**	40,113,982
Due from Holding Company (Note B 11)		**947,924**	-
Due from Subsidiaries (Note B11)		**18,849,421**	9,774,103
Advance to Staff		**1,176,042**	1,057,844
Advance to Suppliers/others		**2,206,660**	132,792
Prepaid Expenses		**3,444,071**	1,833,039
Advance Income Tax and Tax deducted at source		**7,905,441**	2,961,582
Deposits - with Government Bodies		**491,120**	464,120
Deposits - Others		**27,498,475**	14,166,137
TOTAL		**102,633,136**	70,503,598
SCHEDULE - 9			
CURRENT LIABILITIES AND PROVISIONS			
Current Liabilities			
Sundry Creditors - Capital [Note B14]		**-**	-
Sundry Creditors - Others [Note B14]		**15,619,430**	11,788,395
Due to Subsidiary (Maximum Outstanding during the year Rs 1,353,557/-(Previous Period Rs. 594,750/-))		**1,295,914**	594,750
Deposits		**828,200**	828,200
Unclaimed Dividends [Note B 3]		**378,641**	304,273
Share Application Refund Account		**6,575**	6,575
Others Liabilities		**3,420,303**	3,274,080
		21,549,063	16,796,273
Provisions			
Provision for Leave Encashment		**2,879,363**	3,032,287
Provision for Gratuity		**1,162,139**	-
Provision for Taxation		**2,596,282**	2,596,282
Provision for Fringe Benefit Tax (FBT)	**1,006,160**		790,672
Less: Advance FBT	**977,693**	**28,467**	(790,672)
Proposed Dividend		**9,725,564**	9,725,564
Provision for Corporate Dividend Tax		**1,652,860**	1,364,010
		18,044,675	16,718,143
TOTAL		**39,593,738**	33,514,415
SCHEDULE - 10			
MISCELLANEOUS EXPENDITURE **[To the extent not written off or adjusted]**			
Opening Balance/Amalgamation Expenses		**30,560**	213,911
Less : Written/Amortised off during the period [Note A (x)]		**30,560**	183,351
		-	30,560

SCHEDULES ANNEXED AND FORMING PART OF THE BALANCE SHEET AS AT 31ST MARCH 2007

	As at 31-3-2007 Rupees	As at 31-3-2006 Rupees
SCHEDULE 11		
INCOME FROM OPERATIONS		
Income from Software Services		
Domestic (Tax Deducted at Source Rs.141,117/-[Previous Period Rs.259,212/-])	**2,240,305**	2,291,569
Exports (Tax Deducted at Source Rs.2,548,018/-[Previous Period Rs.1,016,580/-])	**233,486,043**	192,499,969
TOTAL	**235,726,348**	194,791,538
SCHEDULE 12		
OTHER INCOME		
Interest from banks	**377,946**	539,439
(Tax deducted at source Rs.84,812 /- [Previous Period Rs 118,139/-])		
Interest on Income Tax Refund	**-**	62,714
Miscellaneous Income	**4,776**	38,727
Provision No Longer Required Written back	**-**	461,359
Rent Received	**828,180**	828,180
(Tax deducted at source Rs127,688 /- [Previous Period Rs 127,688/-])		
Exchange Fluctuation	**-**	794,031
Dividend Income	**16,310,569**	9,660,230
TOTAL	**17,521,471**	12,384,680
SCHEDULE 13		
MANPOWER COSTS		
Salaries and Allowances	**122,037,473**	99,636,364
Company's Contribution to Provident and Other Funds	**7,085,701**	4,820,190
Staff Welfare Expenses	**4,731,625**	1,780,470
Consultancy Charges	**3,028,183**	2,646,798
TOTAL	**136,882,982**	108,883,822
SCHEDULE 14		
OPERATING & ADMINISTRATION EXPENSES		
Rent [Note B10]	**30,178,826**	17,864,845
Leasing and Hiring charges	**2,195,237**	2,709,965
Rates & Taxes	**2,978,502**	943,366
Insurance Premium	**704,029**	496,539
Telephone, Telex and Postage	**5,209,222**	4,500,716
Electricity	**4,396,378**	3,685,661
Travelling Expenses	**13,204,331**	12,833,380
Repairs and Maintainence		
- Computer	**619,634**	911,229
- Others	**2,619,484**	1,561,582
Professional Charges	**3,077,189**	5,424,951
Remuneration to Non- Executive Directors	**515,960**	539,597
Remuneration to Auditors (Refer Note B 8)	**1,006,541**	1,014,951
Printing & Stationery	**992,201**	1,035,353
Miscellaneous Expenses	**5,191,606**	5,362,961
Membership & Subscription	**1,420,471**	1,176,315
Recruitment Expenses	**2,037,311**	1,433,237
Loss on Sale/Discarded Fixed Asset (Net off profit on sale of assets)	**18,351**	224,094
Foreign Exchange Fluctuation (Net)	**845,894**	-
Provision for Doubtful debts/ Bad debts	**736,540**	465,697
TOTAL	**77,947,707**	62,184,439
SCHEDULE 15		
FINANCIAL CHARGES		
Interest		
On Cash Credit	**5,069,431**	3,357,853
On Term Loan	**1,642,270**	-
Bank Charges	**1,424,752**	473,747
Interest- From Subsidiary Company	**(2,330,623)**	
TOTAL	**5,805,830**	3,831,600

SCHEDULE – 16
ACCOUNTING POLICIES AND NOTES TO ACCOUNTS:

A. SIGNIFICANT ACCOUNTING POLICIES:

i) ACCOUNTING CONVENTION:

The financial statements are prepared on accrual basis under the historical cost convention and are in accordance with the provisions of the Companies Act, 1956 and generally accepted accounting principles.

ii) USE OF ESTIMATES:

The preparation of the financial statements in conformity with Indian GAAP requires that the management makes estimates and assumptions that affect the reported amounts of assets and liabilities, disclosure of contingent liabilities as at the date of the financial statements and the reported amounts of revenue and expenses during the reported period. Actual result could differ from those estimates.

iii) REVENUE RECOGNITION:

Software Development Service revenue on time and material contracts are recognized as per terms of the contract. Revenues on fixed-price contracts are recognized using the percentage completion method. Percentage of completion is determined by relating the actual cost of work performed to date to the estimated total cost of the contract. If the estimate indicates a loss on a particular contract, a provision is made for the entire estimated loss without reference to the percentage of completion.

Dividends from investments in shares are recognized when the Company's right to receive payment is established.

iv) FIXED ASSETS:

Fixed Assets are stated at cost inclusive of incidental expenses, less accumulated depreciation. In respect of Fixed Assets acquired under Deferred Payment Schemes / Hire Purchase Schemes, the cost is exclusive of interest.

v) BORROWING COSTS:

Borrowing Costs other than that attributable to a qualifying asset are expensed as and when incurred.

vi) DEPRECIATION /AMORTISATION

Depreciation on Fixed Assets has been provided on straight-line method, on pro-rata basis, at the following rates:

(a) In respect of lease improvements, cost of improvements is written off over the primary period of lease.

(b) Goodwill is amortised over its estimated useful life of 5 years.

(c) Other Fixed Assets have been depreciated on straight-line method basis at the rates specified in Schedule XIV of the Companies Act, 1956.

vii) INVESTMENTS:

Long-term investments are carried at cost, and provision is made to recognise any decline, other than temporary, in the value of such investment. Cost of Investments acquired in exchange of Equity Shares is recognized on fair value principle.

viii) EMPLOYEE BENEFITS:

(a) Defined Contribution Plan.

Company's contributions paid/payable during the year to Provident Fund are recognized in the Profit and Loss Account.

(b) Defined Benefit Plan

Liabilities for gratuity funded in terms of a scheme administered by Life Insurance Corporation of India, are determined by Actuarial Valuation made at the end of each financial year. Provision for liabilities pending remittance to the fund is carried in the balance sheet.

(c) Liability for Leave salary, is provided based on accumulated leave credit outstanding to the employees as on the date of balance sheet.

ix) FOREIGN CURRENCY TRANSACTIONS:

(a) Transaction denominated in foreign currencies is normally recorded at the exchange rate prevailing at the time of the transaction. Any income or expenses on account of exchange difference either on settlement or at period-end is recognised in the Profit and Loss Account.

(b) Foreign Currency transactions covered by forward contracts are recorded at forward contract rates. Forward exchange contracts are not intended for trading or speculation purpose. The premium or discount arising at inception of forward exchange contracts is amortized as expense or income over the life of the contract. Exchange differences on such contracts are recognised in the statement of Profit and Loss in the year in which the exchange rates change. Any profit or loss arising on cancellation or renewal of forward exchange contract is recognised as income or as expense for the year.

(c) Foreign currency monetary assets and liabilities not covered by forward contracts outstanding at the period end are restated at the rates ruling at the period end and exchange differences arising on such transaction are dealt with in the Profit and Loss account (except those relating to acquisition of Fixed Assets from outside India which are adjusted in cost of assets as per statute).

x) MISCELLANEOUS EXPENDITURE:

Expenditure considered to be deferred revenue expenditure incurred before 1st April 2003 is amortised over a period of 5 years.

xi) LEASES

Assets acquired as leases where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases and the lease rentals thereon are charged to the Profit and Loss account on accrual basis.

xii) EARNING PER SHARE:

In determining the earning per share, the company considers the net profit after tax. The number of shares used in computing basic earning per share is the weighted average number of shares outstanding during the period. The number of shares used in computing diluted earning per share comprises the weighted average shares considered for deriving basic earning per share and also the weighted average number of equity shares that could have been issued on the conversion of all dilutive potential equity shares. Dilutive potential equity shares are deemed converted as of the beginning of the period unless issued at a later date.

xiii) INCOME TAX

Income tax expense includes Current & Deferred, Indian & Overseas.

Certain items of income and expenses are not reported in tax returns and financial statements in the same period. The tax effect of this timing difference is reported as deferred income tax assets/liabilities. The tax effect is calculated on the accumulated timing differences at the end of the accounting period at the current enacted tax rates. Deferred tax assets relating to unabsorbed carry forward losses, depreciation and other timing differences are recognised only to the extent there is virtual certainty that the same can be realized in future and in respect of other items where there is reasonable certainty as to realization.

Fringe Benefit Tax provision has been made as per provisions of the Income Tax Act, 1961.

xiv) EMPLOYEE SHARE INCENTIVE SCHEME & STOCK OPTION PLANS:

The Company has a share incentive scheme 2000 for the benefit of its employees administered through the Mindteck Employees Welfare Trust. The Mindteck Employees Welfare Trust, which was constituted for this purpose, subscribed to 400,000 equity shares renounced in its favour by the Company's promoters/directors/in the Company's Right Issue. These shares are to be distributed amongst the Company's employees, based on the recommendations made by the Company's Appraisal Committee. The Company has been advised that the scheme does not attract the provision of the SEBI Guidelines. No shares have been distributed under the Scheme and therefore, no stock compensation expenses have been accounted for.

The company introduced an employee stock option plan "Mindteck Employees Stock Option Scheme 2005" which is governed by the SEBI (EMPLOYEE STOCK OPTION SCHEME AND EMPLOYEE STOCK PURCHASE SCHEME) GUIDELINES, 1999 (guidance). These options are accounted in accordance with the above guidelines and Guidance Note on Accounting for Employee Share-based payments issued by the Institute of Chartered Accountants of India (ICAI). The difference between the market price of the share underlying the options granted on the date of grant of option and the option price if any, is expensed as "Employees' Compensation" over the period of vesting.

xv) CASH FLOW STATEMENT:

Cash Flow Statement has been prepared in accordance with the indirect method prescribed in Accounting Standard 3 issued by the Institute of Chartered Accountants of India.

xvi) PROVISIONS:

A provision is recognised when an enterprise has a present obligation as a result of past event; it is probable that an outflow of resources will be required to settle the obligation, in respect of which a reliable estimate can be made. Provisions are not discounted to its present value and are determined based on best estimate required to settle the obligation at the balance sheet date. These are reviewed at each balance sheet date and adjusted to reflect the current best estimates.

xvii) IMPAIRMENT OF ASSETS:

The carrying amounts of assets are reviewed at each Balance Sheet date if there is any indication of impairment based on internal/external factors. An asset is treated as impaired when the carrying cost of assets exceeds its recoverable value. An impairment loss is charged to Profit and Loss Account in the year in which an asset is identified as impaired. The recoverable amount is greater of the asset's net selling price and value in use. In assessing value in use, the estimated future cash flows are discounted to the present value. A previously recognised impairment loss is further provided or reversed depending on changes in circumstances.

B. NOTES ON ACCOUNTS:

1) CONTINGENT LIABILITIES AND COMMITMENTS:

a) Contingent Liabilities not provided for: Rs. 9, 25,000/- (Previous period Rs. 895,000/-) In respect of Guarantees given by bank on behalf of Company.

b) Estimated amount of Contracts pending to be executed on Capital Account (Net of Advances) is Rs. NIL (Previous period Rs. NIL)

c) Claims against the company not acknowledged as debt Rs. NIL. (Previous period Rs NIL).

2) Loans and Advances include an advance of Rs. 40,113,982/- (Previous Period Rs 40,113,982/-) given to Mindteck Employees Welfare Trust for repaying the debt availed by them for subscribing to the shares of the company. Mindteck Employees Welfare Trust has been set up primarily for the issuance of Equity Shares of the company to its employees under the Employee Share Incentive Scheme. This advance is fully guaranteed by the ultimate holding company upto March 31, 2008.

3) The Company acquired Mindteck Middle East Limited SoC, a wholly owned subsidiary, for strategic and long term purpose on 12th July, 2005. In the opinion of the management and having regard to the Accounting policy no. A (vii) and considering the intrinsic value and the business potential, the investment has been carried at cost though the net-worth of the said Subsidiary is negative as on 31st March 2007.

4) The amount of Rs.378,641/- (PY Rs.304,273) represents the unclaimed dividend for the period since 2001-02. No part thereof has remained unpaid or unclaimed for a period of seven years from the date they became due for payment requiring a transfer to the Investor Education and Protection Fund.

5) EMPLOYEE SHARE INCENTIVE SCHEME AND STOCK OPTION PLAN

A) The Company has a share incentive scheme 2000 for the benefit of its employees administered through the Mindteck Employees Welfare Trust. The Mindteck Employees Welfare Trust, which was constituted for this purpose, subscribed to 400,000 equity shares renounced in its favour by the Company's promoters/ directors/in the Company's Right Issue. These shares are to be distributed amongst the Company's employees, based on the recommendations made by the Company's Appraisal Committee. The Company has been advised that the scheme does not attract the provision of the SEBI Guidelines. No shares have been distributed under the Scheme and therefore, no stock compensation expenses have been accounted for.

B) During the year ended March 31, 2006 the Company had introduced 'Mindteck Employees Stock Option Scheme 2005' for the benefit of the employees, as approved by the Board of Directors in the meeting held on July 4, 2005 and Shareholders Meeting held on July 29, 2005. The Scheme provides for the creation and issue of 500,000 options that would eventually convert into equity shares of Rs.10/- each in the hands of the Company's employees. The options are to be granted to the eligible employees at the discretion of and at the exercise price determined by the Compensation Committee of the Board of Directors. The options generally vest over a three year period and are exercisable during a maximum period of 5 years from the date of vesting. Accordingly during the year, the Company granted 179,900 options on June 25, 2006 (Previous Period 256,017 on September 12, 2005) at the exercise price of Rs. 34.65 (Previous Period Rs. 63.85) per share.

Option activity during the year under the plan is given as below

	For the year ended March 31, 2007	For the year ended March 31, 2006
Opening balance	235,317	—
Options granted during the year	179,900	256,017
Exercised during the year	Nil	Nil
Forfeited during the year	123,917	20,700
Expired during the year	Nil	Nil
Options granted outstanding at the year end	291,300	235,317
Option Exercisable at the year end	Nil	Nil
Weighted Average Remaining contractual life (years) at the year end	3.82	4.47

The Company has accounted the above options using the intrinsic value method. As noted by the Compensation Committee, the exercise price has been determined at the closing price of the Company's shares traded on the BSE on the day prior to the date of grant of options and thus there is no stock compensation expenses under for the intrinsic value method for the options granted.

The guidance note issued by the Institute of Chartered Accountants of India requires the disclosure of pro forma net results and EPS both basic & diluted, had the Company adopted the fair value method. Had the Company accounted the option under fair value method, amortising the stock compensation expense there on over the vesting period, the reported profit for the year ended March 31, 2007 would have been lower by Rs 1,566,048 (Previous Period Rs. 880,627/-) and the Basic and diluted EPS would have been revised to Rs 2.17 & Rs 2.11 (Previous Period Rs. 2.14 & Rs. 2.09) respectively.

The fair value of stock based awards to employees is calculated through the use of option pricing models, requiring subjective assumptions which greatly affect the calculated values. The said fair value of the options have been calculated using Black-Scholes option pricing model, considering the expected term of the options to be 4 years, an expected dividend rate of 10% (Previous Period 10%) on the underlying equity shares, volatility in the share price of 57%(Previous Period 64%)and a risk free rate of 7%(Previous Period 7%). The Company's calculations are based on a single option valuation approach, and forfeitures are recognized as they occur. The expected volatility is based on historical volatility of the share price during the year after eliminating the abnormal price fluctuations.

6) INCOME TAXES:

a) There is no taxable income under regular computation and also under provisions of the section 115JB of the Income Tax Act, 1961 relating to MAT.

b) The timing difference relating mainly to depreciation and unabsorbed losses for the year ended 31st March 2007 results in Net Deferred Asset. As a measure of prudence, the Net Deferred Asset relating to the above have not been recognized in the accounts.

7) MANAGERIAL REMUNERATION

A: TO MANAGER

Particulars	1st April,2006 to 31st March,2007	1st April,2005 to 31st March,2006
Salary and Allowances	5,626,709	4,236,368
Contribution to Provident Fund (& others)	133,406	162,000
Perquisites	—	—
Total	**5,760,115**	**4,488,368**

Mr. .P.A. Ananthanarayanan resigned as the manager of the Company on 7th November, 2006 subsequent to which Mr. Shankar Velayudhan was appointed as Manager w.e.f 30th January, 2007.

The above remuneration paid to the Manager Mr. Shankar Velayudhan is subject to approval of the members of the Company and the Central Government in terms of provisions of the Companies Act, 1956 which is awaited.

B: TO NON EXECUTIVE DIRECTOR

Particulars	1st April,2006 to 31st March,2007	1st April,2005 to 31st March,2006
Remuneration to Non-Executive Directors	515,961	539,597

The above remuneration has been approved by the Central Government.

8) REMUNERATION TO AUDITORS:

Particulars	During the Year Ended on 31st March 2007	During the Year Ended on 31st March 2006
As auditors:		
Statutory Audit	575,000	575,000
Tax Audit/ Tax matters	300,000	300,000
Expenses (Includes Service Tax)	131,541	139,951
Total	1,006,541	1,014,951

9) EMPLOYEE BENEFITS:

The Company has early adopted the revised Accounting Standard (AS) 15 on Employee Benefits with effect from 1st April 2006, the details of which are given below:

I Defined Contribution Plans

a. Provident Fund

b. State Defined Contribution Plans

i. Employers' Contribution to Employee's State Insurance

ii Employers' Contribution to Employee's Pension Scheme 1995.

During the year, the Company has recognized the following amount in the Profit and Loss Account-

Particulars	Rs
Employers' Contribution to Provident Fund	4,193,365*
Employers' Contribution to Employee's State Insurance	5,929 *
Employers' Contribution to Employee's Pension Scheme 1995	1,553,029*

* Included in Contribution to provident and other funds (Refer Schedule 13)

II Defined Benefit Plan

a) Defined Benefit Plan (Leave Encashment):

Pursuant to early adoption of revised AS-15, the leave encashment benefits of the Company hitherto accounted on actuarial basis, has now been accounted on actual basis, the transitional liability thereon as at April 01, 2006 Rs.420,446/- is adjusted against opening general reserve.

Leave encashment benefit expensed in the Profit & Loss Account for the year is Rs.1,921,164/-. Such liability was accounted on actual basis in the previous year while accounted on actual basis in the current year, the impact therein in the Profit and Loss account is estimated to be not material.

b) Contribution to Gratuity Fund:

Pursuant to early adoption of revised Accounting Standard -15 (Revised 2005), the gratuity benefits of the Company amounting to Rs. 943,496/- being the transitional liability as at April 01, 2006 is adjusted against opening general reserve to the extent available and balance has been adjusted against surplus in Profit and Loss account. In accordance with Accounting Standard 15 (Revised 2005) actuarial valuation was done in respect of the aforesaid defined benefit plan of Gratuity based on the following assumptions.

Particulars	31st March 2007
Discount Rate	7.50% p.a.
Expected Rate of Return on Plan Assets	7.88%
Salary Escalation Rate	10.00% p.a.

Change in Present Value of Obligation:-

Particulars	31st March 2007 Rs
Present Value of Obligation as at April 1, 2006	2,880,065
Current Service Cost	499,546
Interest on Defined Benefit Obligation	201,279
Benefits Paid	(392,681)
Net Actuarial Losses / (Gains) Recognized in Year	(331,902)
Past Service Cost	Nil
Losses / (Gains) on "Curtailments & Settlements"	Nil
Closing Present Value of Obligations	2,856,307

Change in the Fair Value of Assets

Particulars	31st March 2007 Rs
Opening Fair Value of Plan Assets	1,538,180
Expected Return on Plan Assets	121,213
Actuarial Gains / (Losses)	29,067
Assets Distributed on Settlements	0
Contributions by Employer	398,389
Assets Acquired due to Acquisition	0
Exchange Difference on Foreign Plans	0
Benefits Paid	(392,681)
Closing Fair Value of Plan Assets	1,694,168

Reconciliation of Present Value of Defined Benefit Obligation and the Fair Value of plan assets:

Particulars	31st March 2007 Rs
Closing Present Value of Funded Obligations	2,856,307
Closing Fair Value of Plan Assets	(1,694,168)
Closing Funded Status	1,162,139
Unrecognized Actuarial (gains) / losses	Nil
Unfunded Net Asset / (Liability) recognised in Balance Sheet	1,162,139

Amount recognized in the Balance Sheet

Particulars	31st March 2007 Rs
Closing Present value of obligations	2,856,307
Closing Fair Value of plan assets	(1,694,168)
Liability Recognised in the Balance Sheet	1,162,139

Expenses recognized in the Profit & Loss Account

Particulars	31st March 2007 Rs
Current Service Cost	499,546
Past Service Cost	1,341,885
Interest Cost	201,279
Expected Return on Plan Assets	(121,213)
Actuarial (Losses) / Gain	(360,969)
Losses / (Gains) on "Curtailments & Settlements"	Nil
Total Expenses to be recognized in the Profit & Loss Account	1,560,528

This being the first year of adoption of revised AS-15 Employee Benefits, no comparative information and other disclosures relating to previous year have been provided in this account.

During the year, the Company has adopted revised AS-15-Employee Benefits, which does not have material impact in the Profits for the year.

10) LEASES:

Operating Leases

The company rents certain premises and equipments under operating lease arrangements. These leases have renewal option with a maximum escalation of 15% with other terms and conditions remaining the same.

The future minimum rental payments under non cancelable operating leases are as follows:

	As at 31st March 2007	As at 31st March 2007
(I) not later than one year	28,557,348	25,061,068
(ii) later than one year and not later than five years	53,028,618	68,054,757
(ii) later than five years	Nil	Nil

The lease rentals [(including maintenance cost of Rs.48,000/- (Previous Period Rs. 48,000/-)] recognized in the accounts for the year is Rs. 30,178,826/-[Previous Period Rs. 17,864,845/-]

11) RELATED PARTIES

Details of Related parties where controls exists is as under:

1. Holding Company

- Transcompany Limited – Ultimate Holding Company
- Vanguard Investments Ltd - Intermediary Holding Company
- Mindteck Holdings Ltd., - Intermediary Holding Company
- Business Holdings Ltd, - Intermediary Holding Company
- Garrington Investments Ltd, - Intermediary Holding Company
- Embtech Holdings Ltd, - Holding Company

2. Fellow Subsidiaries

- Mindteck UK Ltd
- Mindteck Singapore Pte Ltd
- Mindteck Kabushiki Kaisha
- Syncsoft Inc
- Infotech Ventures Ltd, BVI

3. Subsidiaries

- Mindteck USA Inc;
- Mindteck BPO Services Pvt Ltd;
- Mindteck Software Malaysia SDN. BHD.
- Mindteck Middle East Ltd SOC
- ISS Consultancy Inc.,

4. Key Managerial Personnel

- P.A. Ananthanarayanan Manager/ CEO – resigned on 7th November, 2006.
- Shankar Velayudhan – Manager/Head of Indian Operation- joined on 30th January, 2007.

5. Transactions with Related Parties during the year:

		Intermediary Holding Company		Subsidiaries		Fellow Subsidiaries		Key Management Personnel		Total	
Sl. #	Transaction / Nature of Relationship	Year Ended 31-03-2007 Rs.	Year Ended 31-03-2006 Rs.	Year Ended 31-03-2007 Rs.	Year Ended 31-03-2006 Rs.	Year Ended 31-03-2007 Rs.	Year Ended 31-03-2006 Rs.	Year Ended 31-03-2007 Rs.	Year Ended 31-03-2006 Rs.	Year Ended 31-03-2007 Rs.	Year Ended 31-03-2006 Rs.
(i)	**Sale of Goods, Service and other Income:**										
	a) Mindteck USA Inc.	—	—	142,224,625	155,272,020	—	—	—	—	142,153,050	155,272,020
	b) Mindteck Middle East Soc.	—	—	98,999	—	—	—	—	—	98,999	—
	c) ISS Consultant Inc.	—	—	27,871,775	—	—	—	—	—	27,943,350	—
	d) Mindteck UK Limited.	—	—	—	—	11,499,583	3,471,309	—	—	11,499,583	3,471,309
(ii)	**Dividend received**										
	a) Mindteck USA Inc.	—	—	18,640,650	9,660,230	—	—	—	—	18,640,650	9,660,230
(ii)	**Reimbursement of Expenses (Net) :**										
	a) Mindteck USA Inc.	—	—	734,660	594,750	—	—	—	—	734,660	594,750
	b) Mindteck Singapore Pte. Ltd	—	—	—	—	242,233	389,851	—	—	242,233	389,851
	c) Mindteck UK Limited	—	—	—	—	31,803	—	—	—	31,803	—
	d) Mindteck Holding Ltd.	947,925	—	—	—	—	—	—	—	947,925	—
(iii)	**Managerial Remuneration**										
	a) Mr. P.A.Ananthanarayanan	—	—	—	—	—	—	4,705,054	4,488,368	4,705,054	4,488,368
	b) Mr. Shankar Velayudhan	—	—	—	—	—	—	1,055,061	—	1,055,061	—
(iv)	**Investments**										
	a) Mindteck BPO Services Pvt. Ltd.	—	—	—	500,000	—	—	—	—	—	500,000
	b) Mindteck Software Malaysia SDN BHD.	—	—	—	3,016,212	—	—	—	—	—	3,016,212
	c) Mindteck Middle East Soc.	—	—	—	1,830,360	—	—	—	—	—	1,830,360
(v)	**Balance (due)/from**										
	a) Amount Receivable :										
	a) Mindteck USA Inc.	—	—	80,984,869	76,019,127	—	—	—	—	80,984,869	76,019,127
	b) Mindteck Middle East Soc.	—	—	1,044,996	794,058	—	—	—	—	1,044,996	794,058
	c) Mindteck UK Ltd	—	—	—	—	5,193,875	3,356,326	—	—	5,193,875	3,356,326
	d) ISS Consultant Inc.,	—	—	13,871,442	—	—	—			13,871,442	—
	e) Mindteck Singapore Pte. Ltd	—	—	—	—	3,903,602	2,728,448	—	—	3,903,602	2,728,448
	b) Advances :										
	a) Mindteck USA Inc	—	—	18,640,650	9,660,230	—	—	—	—	18,640,650	9,660,230
	b) Mindteck Software Malaysia SDN BHD.	—	—	—	96,139	—	—	—	—	—	96,139
	c) Mindteck BPO Services Pvt. Ltd.	—	—	21,101	17,734	—	—	—	—	21,101	17,734
	d) Mindteck Software Malaysia SDN BHD.	—	—	187,128	—	—	—	—	—	187,128	—
	e) Mindteck Holding Limited	947,925	—	—	—	—	—	—	—	947,925	—
	b) Amounts Payable :										
	a) Mindteck USA Inc	—	—	1,295,914	594,750	—	—	—	—	1,295,914	594,750
	b) Mindteck Singapore Pte. Ltd	—	—	196,841	—	—	389,851	—	—	196,841	389,851
	c) Mindteck UK Ltd	—	—	—	—	32,418	—	—	—	32,418	—

Maximum amount receivable during the year from companies under the same management:

Sl. No	Name of the Related Party	Type of Relation	Year ended 2006 – 07	Year ended 2005 – 06
1.	Mindteck Holding Ltd.	Intermediary Holding Company	947,924	NIL
2.	Mindteck USA Inc	Subsidiary Company	106,202,794	73,572,618
3.	Mindteck Software Malaysia SDN BHD	Subsidiary Company	337,891	96,139
4.	Mindteck BPO Services Pvt. Ltd.	Subsidiary Company	21,101	17,734
5.	Mindteck Middle East Soc.	Subsidiary Company	1,065,497	3,402,011
6.	ISS Consultant Inc.	Subsidiary Company	17,780,698	NIL
7.	Mindteck Singapore Pte. Ltd.	Fellow Subsidiaries	4,103,832	2,729,572
8.	Mindteck UK Ltd.	Fellow Subsidiaries	11,101,132	3,346,242

Note:

1. No amount in respect of related parties has been written off/back or provided during the current period.
2. Related party relationships have been identified by the management and relied upon by the auditors.

12) SEGMENT REPORTING

The Company is engaged in providing Software Services globally and is considered to constitute a single segment in the context of AS-17 on "Segment Reporting" issued by The Institute of Chartered Accountants of India. Geographical Segment constitutes the Secondary Segment of the Company.

The Details of secondary segment of the company is as follows:

Revenue	31-03-2007 Rs	31-03-2006 Rs
- USA	221,886,766	182,374,528
- Others	13,839,582	12,417,010
	235,726,348	**194,791,538**

Segment Assets, Segment Liabilities and fixed assets used in the Company's business have not been identified to any reportable segment, as these are used interchangeably between segments and hence segment disclosures related to total carrying amount of segment assets, liabilities and fixed assets have not been given.

13) EARNINGS PER SHARE:

The earnings per share, computed as per requirements of Accounting Standard 20 – Earnings per Share, issued by the Institute of Chartered Accountants of India, is as under:

Particulars	For the year ended March 31, 2007 Amount in Rs.	For the year ended March 31, 2006 Amount in Rs.
a) Profit after tax as per the Profit & Loss account	22,652,364	21,692,055
b) Outstanding shares:		
• Weighted average number of Equity shares - Basic	9,725,564	9,725,564
• Weighted average number of Equity shares - Diluted	10,016,864	9,960,881
c) Nominal Value of Shares	10	10
d) Earnings per share		
• Basic	2.33	2.23
• Diluted	2.26	2.18

14) (a) There are no Small Scale Industries, to whom the company owes dues, which are outstanding for more than 30 days at the Balance sheet date, computed on unit-wise basis. The above information and that given in "Current Liabilities – Schedule 9 " regarding small scale industrial undertaking has been determined to the extent such parties have been identified on the basis of information available with the company.

(b) There are no Micro, Small & Medium Enterprises, to whom the company owes dues, which are outstanding for more than 45 days at the Balance Sheet date. The above information and that given in "Current Liabilities – Schedule 9 " regarding Micro, Small and Medium Enterprises has been determined to the extent such parties have been identified on the basis of information available with the company.

15) Disclosure on Derivative Instruments

Foreign Currency exposures as at March 31, 2007, that have not been hedged by a derivative instrument or otherwise:

Particulars	31st March,2007 Amount (Rs)	31st March,2006 Amount (Rs)	31st March,2007 Amount (Foreign Currency)	31st March,2006 Amount (Foreign Currency)
Due from:				
Debtors against export of services / goods	i) 101,827,818 ii) 5,193,875	i) 62,664,841 ii) 2,035,217	i) 2,365,388 USD ii) 61,709 GBP	i) 1,404,411 USD ii) 26,232 GBP
Due to:				
- Creditors against import of goods and services (including for capital goods)	i) 196,841 ii) 1,295,914 iii) 32,418	i) 389,851 ii) 594,750	i) 6,859 SGD ii) 29,877 USD iii) 379 GBP	i) 14,275 SGD ii) 13,282 USD

16) The Company has entered into 'International transactions' with 'Associated enterprises' as defined in the Transfer Pricing regulations under the Indian Income Tax Act. These regulations prescribe, inter-alia, the maintenance of relevant documents and information including, furnishing a report to the Income Tax Authorities (within 31 October 2007) from an Accountant certifying that the International transactions during the year are at 'arms length' prices. The Company is conducting a detailed study in this regard. No tax provision has been made in these financials based on the management's opinion that the transactions with associated enterprises are arms length.

17) QUANTITATIVE DETAILS

The company is engaged in the development and maintenance of computer software. The production and sale of such software cannot be expressed in any generic unit. Hence, it is not possible to give the quantitative details of sales and certain information as required under paragraphs 3 and 4C of Part II of Schedule VI of the Companies Act, 1956.

18) Information pursuant to 4D of part II of the Schedule VI of The Companies' Act 1956.

	31-03-2007 Rs.	31-03-2006 Rs.
(a) C.I.F. value of imports (Cash basis):		
Capital Goods	**9,934,455**	**5,149,829**
(b) Expenditure in Foreign currency (Cash basis):		
Foreign Travel	7,254,746	8,636,445
Project Expenses	301,162	207,750
	7,555,908	**8,884,195**
(c) Earnings in Foreign Exchange (Accrual basis):		
Export of software services	233,486,043	192,499,969
Dividend from foreign subsidiary	16,310,569	9,660,230
	233,386,350	202,160,199

19) Previous period's figures have been regrouped/reclassified to conform to the current grouping/classification.

Signature to Schedule 1 to 16

For **DELOITTE HASKINS & SELLS**
Chartered Accountants

S Ganesh
Partner

Place : Bangalore
Date : June 29, 2007

For and on behalf of the Board

M. G. Ved
Chairman

Vivek Malhotra
Director

Satish Menon
Director

Pankaj Agarwal
Director

Guhan Subramaniam
Director

P Vidya Sagar
Company Secretary

Place : Bangalore
Date : June 29, 2007

CASH FLOW STATEMENT FOR THE YEAR ENDED MARCH 31ST, 2007

		For the year ended 31-3-2007 Rupees		For the year ended 31-03-2006 Rupees
CASH FLOW FROM OPERATING ACTIVITIES :				
Net Profit / (Loss) before taxation and extraordinary items		23,659,066		23,387,727
ADJUSTMENTS FOR				
Depreciation	8,921,674		8,705,279	
Interest and Financial Charges	5,805,830		3,831,600	
Excess Provision Written back	-		(461,359)	
Net Loss on sale of Assets	18,351		224,094	
Foreign Exchange fluctuation	1,991,426		(794,031)	
Miscellaneous Expenditure Written off	30,560		183,351	
Bad Debts provided for	736,540		465,697	
Dividend Income	(16,310,569)		(9,660,230)	
Interest Income	(377,946)		(602,153)	
		815,866		1,892,248
Operating Profit before Working Capital changes		**24,474,932**		**25,279,975**
ADJUSTMENTS FOR				
Trade and other receivables	(34,340,916)		(33,741,755)	
Trade Payables	4,352,162		8,000,850	
		(29,988,754)		(25740905)
Cash generated from Operations		(5,513,822)		(460,930)
Income Taxes		(5,950,019)		(847,300)
Net Cash from operating activities (A)		**(11,463,841)**		**(1,308,230)**
CASH FLOW FROM INVESTING ACTIVITIES				
Investments	-			
Fixed Assets Sold	3,550		110,000	
Fixed Assets Purchased	(12,323,579)		(16,450,120)	
Investment in Subsidiary	-		(5,346,572)	
Dividend received	8,154,040		-	
Interest received	377,946		882,292	
		(3,788,043)		(20,804,397)
Net cash used in investing activities (B)		**(3,788,043)**		**(20,804,397)**
CASH FLOW FROM FINANCING ACTIVITIES				
Proceeds from :				
Interest paid	(5,805,831)		(3,831,600)	
Increase/(Decrease) in Secured loan	31,648,784		15,858,033	
Dividend Payout and Corporate Tax paid	(11,015,206)		(6,533,221)	
Net cash used in Financing activities (C)		**14,827,747**		**(5,493,212)**
Net Increase / (Decrease) in cash (A + B + C)		**(424,136)**		**(16,619,415)**
Cash and Bank Balance as on 1st Apr, 2006 (Opening Balance)		6,827,754		**23,447,169**
Cash and Bank Balance as on 31st Mar, 2007 (Closing Balance)		**6,403,618**		**(6,827,754)**

Note

1) The above cash flow statement has been prepared under the indirect method as set out in the Accounting Standard 3 on cash flow statement issued by ICAI
2) Cash & Cash equivalent include balances with Scheduled Banks on Dividend Accounts of Rs. 384,623/- and Fixed Deposits of Rs. 5,000,000/- pledged for secured loans, which are not available for use by the Company.
3) Cash and Cash Equivalents at the year end includes Rs 693/- [Previous Year Rs. 5,794/-] on account of restatement of foreign currency balances.

Signature to Schedule 1 to 16

For **DELOITTE HASKINS & SELLS**
Chartered Accountants

S Ganesh
Partner

Place : Bangalore
Date : June 29, 2007

For and on behalf of the Board

M. G. Ved
Chairman

Vivek Malhotra
Director

Satish Menon
Director

Pankaj Agarwal
Director

Guhan Subramaniam
Director

P Vidyasagar
Company Secretary

Place : Bangalore
Date : June 29, 2007

BALANCE SHEET ABSTRACT AND COMPANY'S GENERAL BUSINESS PROFILE AS PER SCHEDULE VI, PART -(IV) OF THE COMPANIES ACT, 1956

I	**Registration Details**	
	Registration No.	11-62649 of 1991
	State Code	11
	Balance Sheet Date	31.03.2007
II	**Capital Raised during the year**	**(Amount in Thousands)**
	Public Issue	NIL
	Rights Issue	NIL
	Bonus Issue	NIL
	Private Placements	NIL
III	**Position of Mobilisation and Deployemnt of Funds**	**(Amount in Thousands)**
	Total Liabilities	286,077
	Total Asstes	286,077
	Sources of Funds	
	Paid up Capital	97,256
	Reserves & Surplus	121,479
	Secured Loans	67,343
	Unsecrured Loans	NIL
	Application of Funds	
	Net Fixed Assets	47,816
	Investments	62,943
	Net Current Assets	175,318
	Misc. Expenditure	NIL
	Accumulated Losses	NIL
IV	**Performance of the Company**	
	Turnover	235,726
	Total Expenditure	229,589
	Profit Before Tax	23,659
	Profit after Tax	22,653
	Earnings per Share (Rs)	2.26
	Dividend Rate	10%
V	**Generic Name of Principle products/ervices of the Company**	
	Item Code (ITC Code)	8524
	Product Description	Computer Sofware

For and on behalf of the Board

M.G. Ved	**Pankaj Agarwal**	**Guhan Subramaniam**
Chairman	*Director*	*Director*
Satish Menon	**Vivek Malhotra**	**P. Vidya Sagar**
Director	*Director*	*Company Secretary*

AUDITORS' REPORT TO THE BOARD OF DIRECTORS ON THE CONSOLIDATED FINANCIAL STATEMENT OF MINDTECK (INDIA) LIMITED AND ITS SUBSIDIARIES

1. We have examined the attached consolidated balance sheet of MINDTECK (INDIA) LIMITED and its subsidiaries as at 31st March 2007, also the Consolidated Profit and Loss Account and the Consolidated Cash Flow Statement for the year ended on that date annexed thereto. These financial statements are the responsibility of the Mindteck (India) Limited's Management and have been prepared by the Management on the basis of separate financial statements and other financial information regarding components. Our responsibility is to express an opinion on these financial statements based on our audit.

2. We conducted our audit in accordance with auditing standards generally accepted in India. Those Standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatements. An audit includes, examining on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

3. We did not audit the financial statements of certain subsidiaries, whose financial statements reflect total assets of Rs. 471,322,106 as at 31st March 2007 and total revenues of Rs. 932,067,724 and net cash inflows amounting to Rs. 26,268,151 for the year then ended on that date. These financial statements and other financial information has been audited by other auditors whose reports have been furnished to us, and our opinion is based solely on the report of the other auditors.

4. Based on our audit and on consideration of reports of other auditors on separate financial statements/management certification and on the other financial information of the components and to the best of our information and explanation given to us, we are of the opinion that the attached consolidated financial statements, give a true and fair view in conformity with accounting principles generally accepted in India:

   (a) in case of the Consolidated Balance Sheet, of the state of affairs of the Mindteck India Limited and its subsidiaries as at 31st March 2007;

   (b) in case of the Consolidated Profit and Loss Account, of the profit for the year that date; and

   (c) in case of the Consolidated Cash flow Statement, of the cash flows of the year ended on that date.

For **Deloitte Haskins & Sells**
Chartered Accountants

S. Ganesh
Partner

M. No. : 204108

Bangalore

June 29, 2007

CONSOLIDATED BALANCE SHEET AS AT 31ST MARCH 2007

	Schedule	Rupees	As At 31-3-2007 Rupees	As At 31-3-2006 Rupees
SOURCES OF FUNDS :				
SHAREHOLDERS FUNDS :				
Share Capital	1		**97,255,640**	97,255,640
Preference Shares Issued by Subsidiary	2		**44,124,160**	44,124,160
Reserves & Surplus	3		**105,694,855**	106,194,855
Capital Reserve Arising on Consolidation			**46,064,119**	46,064,119
LOAN FUNDS :				
Secured Loans	4		**67,342,834**	35,694,050
Unsecured Loans	5		**135,648,517**	117,149,475
TOTAL			**496,130,125**	446,482,299
APPLICATION OF FUNDS :				
Goodwill on Consolidation			**8,392,912**	8,392,912
FIXED ASSETS	6			
Gross Block		**359,428,267**		342,883,764
Less : Depreciation		**66,106,156**		50,655,766
Net Block			**293,322,111**	292,227,998
Capital Work in Progress (at cost, including advances)			**-**	556,671
			293,322,111	292,784,669
CURRENT ASSETS, LOANS AND ADVANCES				
Interest Accrued but not Due			**-**	22,748
Sundry Debtors	7	**194,331,485**		165,561,400
Cash & Bank Balances	8	**12,172,094**		25,557,860
Loans & Advances	9	**119,333,100**		100,400,271
			325,836,679	291,542,279
LESS : CURRENT LIABILITIES AND PROVISIONS	10			
Current Liabilities		**164,682,616**		190,948,176
Provisions		**21,102,055**		19,405,839
			185,784,671	210,354,015
NET CURRENTS ASSETS			**140,052,008**	81,188,264
MISCELLANEOUS EXPENDITURE	11		-	30,560
[To the extent not written off]				
Debit Balance in Profit & Loss Account			**54,363,094**	64,085,894
TOTAL			**496,130,125**	446,482,299
ACCOUNTING POLICIES AND NOTES TO ACCOUNTS	17			

The schedules referred to above form an integral part of the accounts

As per our report of even date
For **DELOITTE HASKINS & SELLS**
Chartered Accountants

S Ganesh
Partner

Place : Bangalore
Date : June 29, 2007

For and on behalf of the Board

M. G. Ved
Chairman

Pankaj Agarwal
Director

Guhan Subramaniam
Director

Vivek Malhotra
Director

Satish Menon
Director

P Vidyasagar
Company Secretary

Place : Bangalore
Date : June 29, 2007

CONSOLIDATED PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH 2007

	Schedule	Rupees	Year Ended 31-03-2007 Rupees	Year Ended 31-03-2006 Rupees
INCOME				
Income from Operations	12		**997,598,723**	438,299,844
Other Income	13		1,491,125	7,724,174
TOTAL			**999,089,848**	**446,024,018**
EXPENDITURE				
Manpower Costs	14	792,909,096		309,599,135
Operating and Administration Expenses	15	143,947,736		95,721,316
			936,856,832	405,320,451
Financial Charges	16		24,023,303	5,235,236
Depreciation	6		9,907,821	9,433,891
Miscellaneous Expenditure Written off			30,561	183,351
Exchange Conversion Difference			307,532	5,589,183
TOTAL			**971,126,049**	**425,762,112**
Profit/(Loss) before Taxation			27,963,799	20,261,906
Taxation				
- Current Tax			2,387,878	1,431,467
- Deferred Taxes (Note B 8)			-	-
- Fringe Benefit Tax			1,006,160	790,672
Net Profit/(Loss) after Taxation			24,569,761	18,039,767
Surplus/(Deficit) brought forward from previous year			(64,085,894)	(70,796,615)
Surplus in the opening balance arising out of the merger of MSI with MUI			-	2,448,224
Less:- Transitional provision as per revised AS 15 (Refer Note B 10)			863,942	-
Balance Available for Appropriation			(40,380,075)	(50,308,624)
Proposed Dividend			9,725,564	9,725,564
Proposed Dividend by Subsidiary on Preference Shares			2,604,595	2,687,696
Corporate Dividend Tax			1,652,860	1,364,010
Balance Carried to Balance Sheet			(54,363,094)	(64,085,894)
			(40,380,075)	50,308,624)
Basic and Diluted Earning Per Share (Refer Note B 14)				
- Earnings per Share of Equity Share of Rs. 10 each -Basic			2.53	1.85
- Earnings per Share of Equity Share of Rs. 10 each -Diluted			2.45	1.81
ACCOUNTING POLICIES AND NOTES TO ACCOUNTS	17			

The schedules referred to above form an integral part of the accounts

As per our report of even date

For **DELOITTE HASKINS & SELLS**
Chartered Accountants

S Ganesh
Partner

Place : Bangalore
Date : June 29, 2007

For and on behalf of the Board

M. G. Ved
Chairman

Pankaj Agarwal
Director

Guhan Subramaniam
Director

Vivek Malhotra
Director

Satish Menon
Director

P Vidyasagar
Company Secretary

Place : Bangalore
Date : June 29, 2007

SCHEDULES ANNEXED AND FORMING PART OF THE CONSOLIDATED BALANCE SHEET

	Rupees	As at 31-3-2007 Rupees	As at 31-3-2006 Rupees
SCHEDULE - 1			
SHARE CAPITAL			
AUTHORISED			
15,000,000 Equity Shares (Previous Year 15,000,000) of Rs. 10/- each		**150,000,000**	150,000,000
500,000 Cumulative Non-Convertible Redeemable Preference Shares (Previous Year 500,000) of Rs. 100/- each		**50,000,000**	50,000,000
TOTAL		**200,000,000**	200,000,000
ISSUED, SUBSCRIBED AND PAID UP			
9,725,564 Equity Shares (Previous Year 9,725,564) of Rs. 10/- each fully paid up of the above,		**97,255,640**	97,255,640
1. 251,680 Equity Shares (Previous Year 251,680) of Rs. 10/- each are allotted for consideration other than cash to the Shareholders of erstwhile Nicco Infotech Ltd pursuant to the amalgamation			
2. 2,850,000 Equity Shares (Previous Year 2,850,000) of Rs. 10/- each are alloted as fully paid up for Consideration other than cash			
3 a. 7,377,257 Equity shares (Previous Year 7,397,257) are held by Embtech Holding Limited, Marutius the holding company			
b. 416,000 Equity Shares (Previous Year 416,000) are held by Mindteck Employees Welfare Trust			
TOTAL		**97,255,640**	97,255,640
SCHEDULE -2			
PREFERENCE SHARES ISSUED BY SUBSIDIARY			
AUTHORIZED			
2000 Non Cumulative Non Convertible Preference Shares of $ 1000 each		**89,360,000**	89,360,000
TOTAL		**89,360,000**	89,360,000
ISSUED SUBSCRIBED AND PAID UP			
992 Non Cumulative Non Convertible Preference Shares of $ 1000 each		**44,124,160**	44,124,160
TOTAL		**44,124,160**	44,124,160
SCHEDULE - 3			
RESERVES & SURPLUS			
Capital Reserve			
Opening Balance		**42,602,609**	42,602,609
		42,602,609	42,602,609
Securities Premium			
Opening Balance		**63,092,246**	63,092,246
		63,092,246	63,092,246
General Reserve			
Opening Balance		**500,000**	500,000
Less:Transitional Provision under AS 15 (Refer Note B 10)		**500,000**	-
		-	500,000
TOTAL		**105,694,855**	106,194,855

SCHEDULES ANNEXED AND FORMING PART OF THE CONSOLIDATED BALANCE SHEET

	Rupees	As at 31-3-2007 Rupees	As at 31-3-2006 Rupees
SCHEDULE - 4			
SECURED LOANS			
Cash Credit Facilitites from Banks		**52,160,920**	35,694,050
Loan from Banks		**15,181,914**	-
The above borrowings are secured by :			
1) Equitable mortagage of property at Kolkatta			
2) First charge on Fixed Assets of the Company.			
3) Fixed depostis aggregating to Rs.5,000,000/- (Previous Year Rs.5,000,000/-) with lien marked in favour of the Bank.			
4) Exclusive charge on the assets created out of Term Loan.			
TOTAL		**67,342,834**	**35,694,050**
SCHEDULE - 5			
UNSECURED LOANS			
Loans from Banks		**135,648,517**	111,950,000
Loans Other than Banks			
- To Related Parties		**-**	5,199,475
TOTAL		**135,648,517**	**117,149,475**

FIXED ASSETS - SCHEDULE 6

	GROSS BLOCK (AT COST)					DEPRECIATION					NET BLOCK	
ASSETS	**As on 01.04.2006**	**Adjustments during the year***	**Additions during the year**	**Deletions**	**As on 31.03.2007**	**As on 01.04.2006**	**Adjustments during the year***	**Additions during the year**	**Deletions**	**As on 31.03.2007**	**As on 31.03.2007**	**As on 31.03.2006**
Goodwill (On acquisition, refer Note B 7)	254,581,782	(4,336,180)	-		250,245,602	1,400,000	-	1,400,000		2,800,000	247,445,602	253,181,782
COMPUTER EQUIPMENTS (INCL. SOFTWARE)	59,012,577	6,381,933	12,264,059		77,658,569	39,816,197	5,560,769	6,753,412	-	52,130,378	25,528,191	19,196,38
OFFICE EQUIPMENTS	8,179,235	-	1,390,887		9,570,122	1,868,722	-	406,131	-	2,274,853	7,295,269	6,310,513
FURNITURE & FIXTURES	9,993,547	-	883,904	40,100	10,837,351	6,227,498	-	1,141,655	18,200	7,350,953	3,486,398	3,766,049
VEHICLES	-	-	-		-	-	-	-		-	-	-
OTHER EQUIPMENTS	960,103	-	-		960,103	174,712	-	41,072	-	215,784	744,319	785,391
LEASE HOLDINGS	10,156,520	-	-		10,156,520	1,168,637	-	165,551	-	,334,188	8,822,332	8,987,883
	342,883,764	**2,045,753**	**14,538,850**	**40,100**	**359,428,267**	**50,655,766**	**5,560,769**	**9,907,821**	**18,200**	**66,106,156**	**293,322,111**	**292,227,998**
PREVIOUS YEAR	83,187,062	3,386,205	256,812,284	501,787	342,883,764	38,477,961	2,911,606	9,433,891	167,693	50,655,765	292,227,999	

* On account of restatement to previous year figures in a subsidiary.

SCHEDULES ANNEXED AND FORMING PART OF THE CONSOLIDATED BALANCE SHEET

	Rupees	As at 31-3-2007 Rupees	As at 31-3-2006 Rupees
SCHEDULE - 7			
SUNDRY DEBTORS (Unsecured)			
A) Debts Outstanding for a period exceeding six months			
Considered good		**113,645,265**	1,072,528
Considered doubtful		**8,909,777**	5,069,649
B) Others Debts		**80,686,220**	164,488,872
		203,241,262	170,631,049
Less: Provision For Doubtful Debts		**(8,909,777)**	(5,069,649)
TOTAL		**194,331,485**	**165,561,400**
SCHEDULE - 8			
CASH AND BANK BALANCES			
Cash on Hand		**338,563**	294,599
Balances with Banks:			
In Current Accounts		**6,087,591**	19,832,617
In Deposit Accounts		**5,745,940**	5,430,644
(Pledged for margin money Rs. 1,60,543 (Previous Year Rs. 1,60,543/-) with Banks and Government Authorities)			
[Pledged for Secured Loans Rs 5,000,000 (Previous Year 5,000,000)]			
TOTAL		**12,172,094**	**25,557,860**
SCHEDULE - 9			
LOANS AND ADVANCES			
(Unsecured, considered Good, unless otherwise stated)			
Advances recoverable in cash or kind or for value to be received			
Mindteck Employees Welfare Trust [Refer Note B 2]		**40,113,982**	40,113,982
Due from Related Companies		**31,580,675**	31,941,072
Due from Others		**2,474,587**	3,581,279
Advance to Staff		**2,462,813**	3,249,043
Advance to Suppliers/Others		**2,206,660**	132,792
Prepaid Expenses		**4,239,433**	2,061,761
Advance Income Tax and Tax deducted at source		**7,953,383**	3,929,750
Deposits - with Government Bodies		**491,120**	464,120
Deposits - Others		**27,810,447**	14,926,472
TOTAL		**119,333,100**	**100,400,271**
SCHEDULE - 10			
CURRENT LIABILITIES AND PROVISIONS			
Current Liabilities			
Sundry Creditors / Acceptance (Net) -Capital [Refer Note B 15]		**-**	-
Sundry Creditors / Acceptance (Net) -Others [Refer Note B 15]		**71,452,014**	67,281,737
Deposits		**828,200**	828,200
Due to Related Parties		**50,759,379**	28,641,404
Unclaimed Dividends [Note B 3]		**378,641**	304,273
Share Application Refund Account		**6,575**	**6,575**
Others Liabilities		**41,257,807**	93,885,987
		164,682,616	190,948,176
Provisions			
Provision for Leave Encashment		**3,332,148**	3,032,287
Proposed Dividend		**9,725,564**	9,725,564
Provision for Gratuity		**1,162,139**	
Proposed Dividend on Preference Shares issued by Subsidiary		**2,604,595**	2,687,696
Provision for Corporate Dividend Tax		**1,652,860**	1,364,010
Provision for Taxation		**2,596,282**	2,596,282
Provision for Fringe Benefit Tax (FBT)	**1,006,160**		
Less: Advance FBT	**977,693**	**28,467**	-
		21,102,055	19,405,839
TOTAL		**185,784,671**	210,354,015
SCHEDULE - 11			
MISCELLANEOUS EXPENDITURE			
[To the extent not written off or adjusted]			
Opening Balance/Amalgamation Expenses during the year		**30,560**	213,911
Less : Written/Amortised off during the year		**30,560**	183,351
[Refer Note A (xii)]			
		-	30,560

SCHEDULES ANNEXED TO AND FORMING PART OF THE CONSOLIDATED PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31.03.2007.

	As at 31-3-2007 Rupees	As at 31-3-2006 Rupees
SCHEDULE 12		
INCOME FROM OPERATIONAL ACTIVITIES		
Income from Software Services	997,598,723	438,299,844
TOTAL	997,598,723	438,299,844
SCHEDULE 13		
OTHER INCOME		
Interest from banks (Gross)	377,946	752,104
(Total tax deducted at source Rs. 84,812/- Previous Period Rs.118,139)	-	
Interest - Others	76,447	-
Interest on Income Tax Refund	-	62,714
Miscellaneous Income	208,552	38,727
Provision No Longer Required Written back	-	5,112,070
Rent Received	828,180	828,180
(Tax deducted at source Rs127,688 /- [Previous Period Rs 127,688/-])		
Exchange Fluctuation	-	930,379
TOTAL	1,491,125	7,724,174
TOTAL INCOME	999,089,848	446,024,018
SCHEDULE 14		
MANPOWER COSTS		
Salaries and Allowance	618,839,999	300,190,939
Company's Contribution to Provident and Other Funds	7,177,046	4,820,190
Staff Welfare Expenses	4,731,625	1,941,208
Consultancy Charges	162,160,426	2,646,798
TOTAL	792,909,096	309,599,135
SCHEDULE 15		
OPERATING & ADMINISTRATION EXPENSES		
Rent [Note B 11]	38,720,381	22,274,363
Leasing and Hiring charges	3,070,607	3,225,600
Rates & Taxes	2,990,096	1,056,137
Insurance Premium	4,564,345	2,982,649
Telephone, Telex and Postage	10,008,929	7,747,207
Electricity	4,497,791	3,685,661
Travelling Expenses	40,568,002	25,955,461
Repairs and Maintainence	-	-
- Computer	619,634	911,229
- Others	2,858,147	1,561,582
Professional Charges	9,028,270	8,452,261
Remuneration to Non Executive Director	515,960	539,597
Remuneration to Auditors	1,119,926	1,024,461
Printing & Stationery	1,580,000	1,441,589
Miscellaneous Expenses	13,244,722	10,819,797
Membership & Subscription	1,420,471	1,176,315
Recruitments Expenses	2,108,857	1,727,806
Loss on Sale/Discarded Fixed Asset (Net off profit on sale of assets)	18,351	224,094
Foreign Exchange Fluctuation (Net)	849,333	
Provision for Doubtful debts/ Bad debts	6,163,914	915,507
TOTAL	143,947,736	95,721,316
SCHEDULE 16		
FINANCIAL CHARGES		
Interest		
On Cash Credit	5,069,431	3,357,853
On Term Loan	16,984,366	963,641
Bank Charges	1,969,506	913,742
TOTAL	24,023,303	5,235,236

SCHEDULE – 17 : ACCOUNTING POLICIES AND NOTES TO ACCOUNTS FORMING PART OF THE CONSOLIDATED BALANCE SHEET AND PROFIT AND LOSS ACCOUNT

A. SIGNIFICANT ACCOUNTING POLICIES:

i) BASIS OF ACCOUNTING/BASIS OF PREPARATION OF FINANCIAL STATEMENT

The Company maintains its accounts on accrual basis following the historical cost convention in accordance with generally accepted accounting principles (GAAP) except for the revaluation of certain fixed assets, and in compliance with the Accounting Standards referred to in Section 211(3C) and other requirements of the Companies Act, 1956.

The preparation of financial statements in conformity with GAAP requires that the management of the company makes estimates and assumptions that affect the reported amounts of income and expenses of the period, the reported balances of assets and liabilities and the disclosures relating to contingent liabilities as of the date of the financial statements. Examples of such estimates include the useful lives of fixed assets, provision of doubtful debts/ advances, future obligations in respect of retirement benefit plans etc., Actual results could differ from these estimates

The accounts of the foreign subsidiaries have been prepared in compliance with the local laws and applicable Accounting Standards.

ii) PRINCIPLES OF CONSOLIDATION:

The consolidated financial statements comprise the financial statements of Mindteck (India) Limited ("the Company") and its wholly owned Subsidiaries (WOS) being foreign companies; (a) Mindteck USA Inc., USA ("MUI") (formerly known as Mindteck Consulting Inc., USA) with its wholly owned Subsidiary ISS Consultants Inc.,.(b) Mindteck Software Malaysia SDN. BHD; (c) Mindteck Middle East Ltd SPC and the Indian Company Mindteck BPO Services Pvt Ltd .

The financial statements have been consolidated on a line-by-line basis by adding together the book values of like items of assets, liabilities, income and expenses, after eliminating intra-group balances and the unrealized profits/losses on intra-group transactions.

iii) REPORTING DATES OF SUBSIDIARY FOR CONSOLIDATION:

For the purpose of preparing these statements the financials of the parent and its subsidiaries Mindteck USA Inc, Mindteck BPO Services Pvt Ltd, Mindteck Software Malaysia SDN. BHD & Mindteck Middle East Ltd SPC for the period 1st April 2006 to 31st March 2007 is considered.

iv) USE OF ESTIMATES:

The preparation of the financial statements in conformity with Indian GAAP requires that the management makes estimates and assumptions that affect the reported amounts of assets and liabilities, disclosure of contingent liabilities as at the date of the financial statements and the reported amounts of revenue and expenses during the reported period. Actual result could differ from those estimates.

v) REVENUE RECOGNITION:

For software Development Service revenue on time and material contracts are recognized as per the terms of the contract. Revenues on fixed-price contracts are recognized using the percentage completion method. Percentage of completion is determined by relating the actual cost of work performed to date to the estimated total cost of the contract. If the estimate indicates a loss on a particular contract, a provision is made for the entire estimated loss without reference to the percentage of completion.

Dividends from investments in shares are recognized when the owner's right to receive payment is established.

vi) FIXED ASSETS:

Fixed Assets are stated at cost inclusive of incidental expenses, less accumulated depreciation. In respect of Fixed Assets acquired under Deferred Payment Schemes / Hire Purchase Schemes, the cost is exclusive of interest.

vii) BORROWING COSTS

Borrowing Costs other than that attributable to a qualifying asset are expensed as and when incurred.

viii) DEPRECIATION /AMORTISATION

Indian Company:

Depreciation on Fixed Assets has been provided on straight-line method, on pro-rata basis, at the following rates:

(a) In respect of lease improvements, cost of improvements is written off over the primary period of lease.

(b) Goodwill is amortized over its estimated useful life of 5 years (Refer Note B 3)

(c) Other Fixed Assets have been depreciated on straight-line method basis at the rates specified in Schedule XIV of the Companies Act, 1956.

Foreign Companies:

Depreciation has been provided by the foreign companies on methods and at the rates required/permissible by the local laws so as to write off the assets over their useful lives.

ix) INVESTMENTS:

Long-term investments are carried at cost, and provision is made to recognize any decline, other than temporary, in the value of such investment. Cost of Investments acquired in exchange of Equity Shares is recognized on fair value principle.

x) EMPLOYEE BENEFITS:

Indian Company:

(a) Defined Contribution Plan.

Company's contributions paid/payable during the year to Provident Fund are recognized in the Profit and Loss Account.

(b) Defined Benefit Plan

Liabilities for gratuity funded in terms of a scheme administered by Life Insurance Corporation of India, are determined by Actuarial Valuation made at the end of each financial year. Provision for liabilities pending remittance to the fund is carried in the balance sheet.

(c) Liability for Leave salary is provided based on accumulated leave credit outstanding to the employees as on the date of balance sheet.

Foreign Companies:

Foreign Companies provide for retirement benefits in accordance with the applicable local laws.

xi) FOREIGN CURRENCY TRANSACTIONS:

(a) Transaction denominated in foreign currencies is normally recorded at the exchange rate prevailing at the time of the transaction. Any income or expenses on account of exchange difference either on settlement or at period-end is recognized in the Profit and Loss Account.

(b) Foreign Currency transactions covered by forward contracts are recorded at forward contract rates. Forward exchange contracts are not intended for trading or speculation purpose. The premium or discount arising at inception of forward exchange contracts is amortized as expense or income over the life of the contract. Exchange differences on such contracts are recognized in the statement of Profit and Loss in the year in which the exchange rates change. Any profit or loss arising on cancellation or renewal of forward exchange contract is recognized as income or as expense for the year.

(c) Foreign currency monetary assets and liabilities not covered by forward contracts outstanding at the period end are restated at the rates ruling at the period end and exchange differences arising on such transaction are dealt with in the Profit and Loss account (except those relating to acquisition of Fixed Assets from outside India which are adjusted in cost of assets as per statute).

d) Foreign Currency transactions at US office are translated into rupees at various exchange rates as under:

i. Fixed assets at the rates prevailing on transaction date.

ii. Income and Expenditure at the average rate of exchange.

iii. Current Assets and Current Liabilities at the exchange rates prevailing on the Balance Sheet date.

xii) MISCELLANEOUS EXPENDITURE:

Expenditure considered to be deferred revenue expenditure incurred before 1st April 2003 is amortized over a period of 5 years.

xiii) LEASES

Assets acquired as leases where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Lease rentals are charged to the Profit and Loss account on accrual basis.

xiv) EARNING PER SHARE:

In determining the earning per share, the company considers the net profit after tax. The number of shares used in computing basic earning per share is the weighted average number of shares outstanding during the period. The number of shares used in computing diluted earning per share comprises the weighted average shares considered for deriving basic earning per share and also the weighted average number of equity shares that could have been issued on the conversion of all dilutive potential equity shares. Dilutive potential equity shares are deemed converted as of the beginning of the period unless issued at a later date.

xv) INCOME TAX

Indian Company:

Income tax expense includes Current & Deferred, Indian & Overseas.

Certain items of income and expenses are not reported in tax returns and financial statements in the same period. The tax effect of this timing difference is reported as deferred income tax assets/liabilities. The tax effect is calculated on the accumulated timing differences at the end of the accounting period at the current enacted tax rates. Deferred tax assets relating to unabsorbed carry forward losses, depreciation and other timing differences are recognized only to the extent there is virtual certainty that the same can be realized in future and in respect of other items where there is reasonable certainty as to realization. Fringe Benefit Tax provision has been made as per provisions of the IT Act, 1961.

Foreign Companies:

Foreign companies recognize tax liabilities and assets in accordance with the applicable local laws.

xvi) EMPLOYEES SHARE INCENTIVE SCHEME & STOCK OPTION PLAN:

The Company has a share incentive scheme 2000 for the benefit of its employees administered through the Mindteck Employees Welfare Trust. The Mindteck Employees Welfare Trust, which was constituted for this purpose, subscribed to 400,000 equity shares renounced in its favour by the Company's promoters/directors/in the Company's Right Issue. These shares are to be distributed amongst the Company's employees, based on the recommendations made by the Company's Appraisal Committee. The Company has been advised that the scheme does not attract the provision of the SEBI Guidelines. No shares have been distributed under the Scheme and therefore, no stock compensation expenses have been accounted for.

The company introduced an employee stock option plan "Mindteck Employees Stock Option Scheme 2005" which is governed by the SEBI (EMPLOYEE STOCK OPTION SCHEME AND EMPLOYEE STOCK PURCHASE SCHEME) GUIDELINES, 1999 (guidance). These options are accounted in accordance with the above guidelines and Guidance Note on Accounting for Employee Share-based payments issued by the Institute of Chartered Accountants of India (ICAI). The difference between the market price of the share underlying the options granted on the date of grant of option and the option price if any, is expensed as "Employees' Compensation" over the period of vesting.

xvii) CASH FLOW STATEMENT:

Cash Flow Statement has been prepared in accordance with the indirect method prescribed in Accounting Standard 3 issued by the ICAI.

xviii) PROVISIONS:

A provision is recognised when an enterprise has a present obligation as a result of past event; it is probable that an outflow of resources will be required to settle the obligation, in respect of which a reliable estimate can be made. Provisions are not discounted to its present value and are determined based on best estimate required to settle the obligation at the balance sheet date. These are reviewed at each balance sheet date and adjusted to reflect the current best estimates.

xix) IMPAIRMENT OF ASSETS:

The carrying amounts of assets are reviewed at each Balance Sheet date if there is any indication of impairment based on internal/external factors. An asset is treated as impaired when the carrying cost of assets exceeds its recoverable value. An impairment loss is charged to Profit and Loss Account in the year in which an asset is identified as impaired. The recoverable amount is greater of the asset's net selling price and value in use. In assessing value in use, the estimated future cash flows are discounted to the present value. A previously recognized impairment loss is further provided or reversed depending on changes in circumstances.

B. NOTES ON ACCOUNTS:

1) CONTINGENT LIABILITIES AND COMMITMENTS:

a) Contingent Liabilities not provided for: Rs. 9,25,000/- (Previous period Rs. 895,000/-) In respect of Guarantees given by bank on behalf of Company.

b) Estimated amount of Contracts pending to be executed on Capital Account (Net of Advances) is Rs. NIL (Previous period Rs. NIL)

c) Claims against the company not acknowledged as debt Rs. NIL. (Previous period Rs NIL).

2) Loans and Advances include an advance of Rs. 40,113,982/- (Previous Period Rs 40,113,982/-) given to Mindteck Employees Welfare Trust for repaying the debt availed by them for subscribing to the shares of the company. Mindteck Employees Welfare Trust has been set up primarily for the issuance of Equity Shares of the company to its employees under the Employee Share Incentive Scheme. This advance is fully guaranteed by the ultimate holding company upto March 31, 2008.

3) The amount of Rs.378,641/- (PY Rs.304,273) represents the unclaimed dividend for the period since 2001-02. No part thereof has remained unpaid or unclaimed for a period of seven years from the date they became due for payment requiring a transfer to the Investor Education and Protection Fund.

4) Notes payable Bank-Mindteck USA Inc

The Company has a term loan with a bank expiring on September 25, 2008 for $ 2,500,000. The interest on term loan was at the rate of 6% per annum.The loan was for the purpose of funding the purchase of 100% of the shares of stock in ISS Consultants, Inc. During the year, the Company repaid the entire loan in April,2006 and borrowed it again in June 2006. As of March 31, 2007, the outstanding balance was USD 2,250,000.

Additionally, the Company has an unsecured non interest bearing demand note owed to Taib Bank. As of March 31,2007, the outstanding balance was USD 274,829.

During the year, the Company obtained a short term demand loan carrying interest at 8.5 % from InfoTech Consulting, Inc. The Company incurred interest expense of USD 7,963 for the year ending March 31,2007. As of March 31,2007 the outstanding balance, included in due to related parties was

USD 575,000.

5) EMPLOYEE SHARE INCENTIVE SCHEME AND STOCK OPTION PLAN

A) The Company has a share incentive scheme 2000 for the benefit of its employees administered through the Mindteck Employees Welfare Trust. The Mindteck Employees Welfare Trust, which was constituted for this purpose, subscribed to 400,000 equity shares renounced in its favour by the Company's promoters/directors/in the Company's Right Issue. These shares are to be distributed amongst the Company's employees, based on the recommendations made by the Company's Appraisal Committee. The Company has been advised that the scheme does not attract the provision of the SEBI Guidelines. No shares have been distributed under the Scheme and therefore, no stock compensation expenses have been accounted for.

B) During the year ended March 31, 2006 the Company had introduced 'Mindteck Employees Stock Option Scheme 2005' for the benefit of the employees, as approved by the Board of Directors in the meeting held on July 4, 2005 and Shareholders Meeting held on July 29, 2005. The Scheme provides for the creation and issue of 500,000 options that would eventually convert into equity shares of Rs.10/- each in the hands of the Company's employees. The options are to be granted to the eligible employees at the discretion of and at the exercise price determined by the Compensation Committee of the Board of Directors. The options generally vest over a three year period and are exercisable during a maximum period of 5 years from the date of vesting. Accordingly during the year, the Company granted 179,900 options on June 25, 2006 (Previous Period 256,017 on September 12, 2005) at the exercise price of Rs. 34.65 (Previous Period Rs. 63.85) per share.

Option activity during the year under the plan is given as below

	For the year ended March 31, 2007	For the year ended March 31, 2006
Opening balance	235,317	—
Options granted during the year	179,900	256,017
Exercised during the year	Nil	Nil
Forfeited during the year	123,917	20,700
Expired during the year	Nil	Nil
Options granted outstanding at the year end	291,300	235,317
Option Exercisable at the year end	Nil	Nil
Weighted Average Re maining contractual life (years) at the year end	3.82	4.47

The Company has accounted the above options using the intrinsic value method. As noted by the Compensation Committee, the exercise price has been determined at the closing price of the Company's shares traded on the BSE on the day prior to the date of grant of options and thus there is no stock compensation expenses under for the intrinsic value method for the options granted.

The guidance note issued by the Institute of Chartered Accountants of India requires the disclosure of pro forma net results and EPS both basic & diluted, had the Company adopted the fair value method. Had the Company accounted the option under fair value method, amortising the stock compensation expense there on over the vesting period, the reported profit for the year ended March 31, 2007 would have been lower by Rs 1,566,048 (Previous Period Rs. 880,627/-) and the Basic and diluted EPS would have been revised to Rs. 2.36 & Rs. 2.29 (Previous Period Rs.2.23 & Rs. 2.18) respectively.

The fair value of stock based awards to employees is calculated through the use of option pricing models, requiring subjective assumptions which greatly affect the calculated values. The said fair value of the options have been calculated using Black-Scholes option pricing model, considering the expected term of the options to be 4 years, an expected dividend rate of 10% (Previous Period 10%) on the underlying equity shares, volatility in the share price of 57%(Previous Period 64%)and a risk free rate of 7%(Previous Period 7%). The Company's calculations are based on a single option valuation approach, and forfeitures are recognized as they occur. The expected volatility is based on historical volatility of the share price during the year after eliminating the abnormal price fluctuations.

6. GOODWILL

Foreign Company

The Mindteck USA Inc., evaluate the recoverability of goodwill on an annual basis or as otherwise required under Statement of Accounting Standards ('SFAS') No.142,"Goodwill and Other intangible Assets". SFAS 142 addresses financials accounting and reporting for acquired goodwill and other intangible assets. Under SFAS 142, goodwill and intangible assets that have indefinite lives are not amortized, but rather are tested at lease annually for impairment. Intangible assets that have finite useful lives continue to be amortized over their useful lives. As a result of its annual impairment testing, the Companies have determined that no impairment adjustment was necessary for the period reported in these financial statements.

7. BUSINESS COMBINATIONS

Purchase Acquisitions

Pursuant to a stock purchase agreement dated March 28th, 2006, the Company acquired all of the outstanding common stock of ISS Consultants, Inc.-an entity formed under the laws of the State of Texas. The acquisition which became effective March 31, 2006, was effected for the purpose of expanding Company's market reach and its customer base.

The aggregate purchase price, after contractual price adjustments, amounted to USD 3,925,978 of which USD 2,200,000 was paid in cash at closing, USD 438,732 payable in cash within on year, USD 487,246 of acquisition related costs payable after closing and USD 800,000 payable in installments upon achieving certain earn-out targets. Additionally the adjusted purchase price was relocated to the assets acquired resulting in increases of USD 35,174 in property and equipment and of USD 387,585 in net receivables and a decrease of USD 563,548 in goodwill.

The following is a condensed balance sheet showing the fair values of assets acquired as of the date of acquisition:

	USD
Property and equipment	39,894
Net Receivables	387,585
Goodwill arising in the acquisition	3,498,499
Net assets acquired	**3,925,978**

8. INCOME TAX:

a) Indian Company

i) There is no taxable income under regular computation and also under provisions of the section 115JB of the Income Tax Act, 1961 relating to MAT.

ii) The timing difference relating mainly to depreciation and unabsorbed losses for the year ended 31st March 2007 results in Net Deferred Asset. As a measure of prudence, the Net Deferred Asset relating to the above have not been recognized in the accounts.

(b) Foreign Company

The Subsidiary Company recognizes deferred income taxes using the liability method, whereby such deferred taxes are determined for differences between the carrying values of assets and liabilities for financial and tax reporting purposes.

Deferred tax liabilities result primarily from tax and financial reporting difference in property and equipment and from net operating losses that are available to offset future taxable income. Valuation allowances are established when necessary to reduce deferred tax assets to the amount expected to be realized.

9. MANAGERIAL REMUNERATION TO MANAGERIAL PERSON OF HOLDING COMPANY

A: TO MANAGER

Particulars	1st April,2006 to 31st March,2007	1st April,2005 to 31st March,2006
Salary and Allowances	5,626,709	4,236,368
Contribution to Provident Fund (& others)	133,406	162,000
Perquisites		
Total	**5,760,115**	**4,488,368**

Mr. P. A. Ananthnarayanan resigned as the manager of the Company on 7th November, 2006 subsequent to which Mr. Shankar Velayudhan was appointed as Manager w.e.f 30th January, 2007.

The above remuneration paid to the manager Mr. Shankar Velayudhan is subject to approval of the members of the Company and the Central Government in terms of provisions of the Companies Act, 1956 which is awaited.

B TO NON EXECUTIVE DIRECTORS

Particulars	1st April,2006 to 31st March,2007	1st April,2005 to 31st March,2006
Remuneration to Non-Executive Directors	515,961	539,597

The above remuneration has been approved by the Central Government.

10) EMPLOYEE BENEFITS OF HOLDING COMPANY:

The Company has early adopted the revised Accounting Standard (AS) 15 on Employee Benefits with effect from 1st April 2006, the details of which are given below:

I Defined Contribution Plans

a. Provident Fund

b. State Defined Contribution Plans

i. Employers' Contribution to Employee's State Insurance

ii Employers' Contribution to Employee's Pension Scheme 1995.

During the year, the Company has recognized the following amount in the Profit and Loss Account-

Particulars	Rs
Employers' Contribution to Provident Fund	4,193,365*
Employers' Contribution to Employee's State Insurance	5,929 *
Employers' Contribution to Employee's Pension Scheme 1995	1,553,029*

* Included in Contribution to provident and other funds (Refer Schedule 13)

II Defined Benefit Plan

a) Defined Benefit Plan (Leave Encashment):

Pursuant to early adoption of revised AS-15, the leave encashment benefits of the Company hitherto accounted on actuarial basis, has now been accounted on actual basis, the transitional liability thereon as at April 01, 2006 Rs.420,446/- is adjusted against opening general reserve.

Leave encashment benefit expensed in the Profit & Loss Account for the year is Rs.1,921,164/-. Such liability was accounted on acturial basis in the previous year while accounted on actual basis in the current year, the impact thereon in the Profit and Loss account is estimated to be not material.

b) Contribution to Gratuity Fund:

Pursuant to early adoption of revised Accounting Standard - 15 (Revised 2005), the gratuity benefits of the Company amounting to Rs. 943,496/- being the transitional liability as at April 01, 2006 is adjusted against opening general reserve to the extent available and balance has been adjusted against surplus in Profit and loss account. In accordance with Accounting Standard 15 (Revised 2005) actuarial valuation was done in respect of the aforesaid defined benefit plan of Gratuity based on the following assumptions.

Particulars	31st March 2007
Discount Rate	7.50% p.a.
Expected Rate of Return on Plan Assets	7.88%
Salary Escalation Rate	10.00% p.a.

Change in Present Value of Obligation:-

Particulars	31st March 2007 Rs
Present Value of Obligation as at April 1, 2006	2,880,065
Current Service Cost	499,546
Interest on Defined Benefit Obligation	201,279
Benefits Paid	(392,681)
Net Actuarial Losses / (Gains) Recognized in Year	(331,902)
Past Service Cost	Nil
Losses / (Gains) on "Curtailments & Settlements"	Nil
Closing Present Value of Obligations	2,856,307

Change in the Fair Value of Assets

Particulars	31st March 2007 Rs
Opening Fair Value of Plan Assets	1,538,180
Expected Return on Plan Assets	121,213
Actuarial Gains / (Losses)	29,067
Assets Distributed on Settlements	0
Contributions by Employer	398,389
Assets Acquired due to Acquisition	0
Exchange Difference on Foreign Plans	0
Benefits Paid	(392,681)
Closing Fair Value of Plan Assets	1,694,168

Reconciliation of Present Value of Defined Benefit Obligation and the Fair Value of plan assets:

Particulars	31st March 2007 Rs
Closing Present Value of Funded Obligations	2,856,307
Closing Fair Value of Plan Assets	(1,694,168)
Closing Funded Status	1,162,139
Unrecognized Actuarial (gains) / losses	Nil
Unfunded Net Asset / (Liability) recognised in Balance Sheet	1,162,139

Amount recognized in the Balance Sheet

Particulars	31st March 2007 Rs
Closing Present value of obligations	2,856,307
Closing Fair Value of plan assets	(1,694,168)
Liability Recognised in the Balance Sheet	1,162,139

Expenses recognized in the Profit & Loss Account

Particulars	31st March 2007 Rs
Current Service Cost	499,546
Past Service Cost	1,341,885
Interest Cost	201,279
Expected Return on Plan Assets	(121,213)
Actuarial (Losses) / Gain	(360,969)
Losses / (Gains) on "Curtailments & Settlements"	Nil
Total Expenses to be recognized in the Profit & Loss Account	1,560,528

This being the first year of adoption of revised AS-15 Employee Benefits, no comparative information and other disclosures relating to previous year have not been provided in this account.

During the year, the Company has adopted revised AS-15-Employee Benefits, which does not have material impact in the Profits for the year.

11. LEASES:

Operating Leases

The company rents certain premises and equipments under operating lease arrangements. These leases have renewal option with a maximum escalation of 15% with other terms and conditions remaining the same.

The future minimum rental payments under non cancelable operating leases are as follows:

	As at 31st March 2007	As at 31st March 2006
(I) not later than one year	36,914,771	25,061,068
(ii) later than one year and not later than five years	56,749,671	68,054,757
(ii) later than five years	Nil	Nil

The lease rentals [(including maintenance cost of Rs.48,000/- (Previous Period Rs. 48,000/-)] recognized in the accounts for the year is Rs. 38,720,381/-[Previous Period Rs. 22,274,363/-]

12. RELATED PARTIES

Details of Related parties where controls exists is as under:

a) Holding Company

- Transcompany Limited – Ultimate Holding Company
- Vanguard Investments Ltd - Intermediary Holding Company
- Mindteck Holdings Ltd., - Intermediary Holding Company
- Business Holdings Ltd, - Intermediary Holding Company
- Garrington Investments Ltd, - Intermediary Holding Company
- Embtech Holdings Ltd, - Holding Company

b) Fellow Subsidiaries

- Mindteck UK Ltd
- Mindteck Singapore Pte Ltd
- Mindteck Kabushiki Kaisha
- Syncsoft Inc
- Infotech Ventures Ltd, BVI

c) Key Managerial Personnel

P.A. Ananthanarayanan Manager/ CEO – resigned on 7th November, 2006.

Shankar Velayudhan – Manager/Head of Indian Operation- joined on 30th January,2007

Transactions with Related Parties during the year:

(Amount in Rs.)

		Holding/Intermediary Holding Company		Fellow Subsidiaries		Key Management Personnel		Total	
Sl. #	Transaction / Nature of Relationship	Year Ended 31-03-2007 Rs.	Year Ended 31-03-2006 Rs.	Year Ended 31-03-2007 Rs.	Year Ended 31-03-2006 Rs.	Year Ended 31-03-2007 Rs.	Year Ended 31-03-2006 Rs.	Year Ended 31-03-2007 Rs.	Year Ended 31-03-2006 Rs.
(i)	**Sale of Goods, Service and other Income:**								
	a) Mindteck UK Limited.			11,499,583	3,471,309			11,499,583	3,471,309
(ii)	**Reimbursement of Expenses (Net) :**								
	a) Mindteck Singapore Pte. Ltd			1,314,362	828,087			1,314,362	828,087
	b) Mindteck UK Limited			**31,803**				**31,803**	
	c) Mindteck Holding Ltd.	1,701,766	433,343					1,701,766	433,343
(iii)	**Managerial Remuneration**								
	a) Mr. P.A.Ananthanarayanan					4,705,054	4,488,368	4,705,054	4,488,368
	b) Mr. Shankar Velayudhan					1,055,061		1,055,061	
(v)	**Balance (due)/from**								
	a) Amount Receivable :								
	a) Mindteck UK Ltd			5,193,875	3,356,326			5,193,875	3,356,326
	b) Mindteck Singapore Pte. Ltd			3,903,602	2,728,448			3,903,602	2,728,448
	b) Advances :								
	a) Mindteck UK Ltd			449,085	468,510			449,085	468,510
	b) Mindteck Kabushiki Kaisha			4,752,862	4,958,442			4,752,862	4,958,442
	c) InfoTech Ventures Ltd			25,039,055	26,102,700			25,039,055	26,102,700
	d) Mindteck Singapore Pte. Ltd			391,742	411,366			391,742	411,366
	e) Mindteck Holding Ltd.	9,47,925						9,47,925	
	c) Amounts Payable :								
	a) Mindteck Singapore Pte Ltd			19,853,496	20,273,630			19,853,496	20,273,630
	b) Mindteck UK Ltd			32,418				32,418	-
	c) Mindteck Holding Ltd.	11,415,135	10,075,500					11,415,135	10,075,500
	d) Infotech Ventures Ltd	525,558	537,808					525,558	537,808
	e) Business Holding Ltd	18,875,787	16,784,843					18,875,787	16,784,843
	f) Emtech Holding Ltd	56,984	57,133					56,984	57,133

Note :
1. No amount in respect of related parties has been written off/back or provided during the current period.
2. Related party relationships have been identified by the management and relied upon by the auditors.

13. SEGMENT REPORTING:

The Company is engaged in providing Software Services globally and is considered to constitute a single segment in the context of AS-17 on "Segment Reporting" issued by The Institute of Chartered Accountants of India. Geographical Segments constitutes the Secondary Segment of the Company.

The Details of secondary segment of the company is as follows :

	31-03-2007 (12 months) Rs.	31-03-2006 (12 months) Rs.
Revenue		
- USA	968,094,330	420,304,101
- Others	29,504,393	17,995,743
	997,598,723	438,299,844

Segment Assets, Segment Liabilities and fixed assets used in the Company's business have not been identified to any reportable segment, as these are used interchangeably between segments and hence segment disclosures related to total carrying amount of segment assets, liabilities and fixed assets have not been given.

14. EARNINGS PER SHARE:

The earnings per share, computed as per requirements of Accounting Standard 20 – Earnings per Share, issued by the Institute of Chartered Accountants of India, is as under:

Particulars	For the year ended March 31, 2007 Amount in Rs.	For the year ended March 31, 2006 Amount in Rs.
a) Profit after tax as per the Profit & Loss account	24,569,761	18,039,767
b) Outstanding shares:		
● Weighted average number of Equity shares - Basic	9,725,564	9,725,564
● Weighted average number of Equity shares - Diluted	10,016,864	9,960,881
c) Nominal Value of Shares	10/- per share	10/- per share
d) Earnings per share		
● Basic	2.53	1.85
● Diluted	2.45	1.81

15. (a) There are no Small Scale Industries, to whom the company owes dues, which are outstanding for more than 30 days at the Balance Sheet date, computed on unit-wise basis. The above information and that given in "Current Liabilities – Schedule 10" regarding small scale industrial undertaking has been determined to the extent such parties have been identified on the basis of information available with the company.

(b) There are no Micro, Small & Medium Enterprises, to whom the company owes dues, which are outstanding for more than 45 days at the Balance Sheet date. The above information and that given in "Current Liabilities – Schedule 9 " regarding Micro, Small and Medium Enterprises has been determined to the extent such parties have been identified on the basis of information available with the company

16. DISCLOSURE ON DERIVATIVE INSTRUMENTS

Foreign Currency exposures as at March 31, 2007 that have not been hedged by a derivative instrument or otherwise:

Particulars	31st March,2007 Amount (Rs)	31st March,2006 Amount (Rs)	31st March,2007 Amount (Foreign Currency)	31st March,2006 Amount (Foreign Currency)
Due from:				
Debtors against export of	i) 101,827,818	i) 62,664,841	i) 2,365,388 USD	i) 1,404,411 USD
	ii) 5,193,875	ii) 2,035,217	ii) 61,709 GBP	ii) 26,232 GBP
Due to:				
- Creditors against import of	i) 196,841	i) 389,851	i) 6,859 SGD	i) 14,275 SGD
goods and services	ii) 1,295,914	ii) 594,750	ii) 29,877 USD	ii) 13,282 USD
(including for capital goods)	iii) 32,418	iii) -	iii) 379 GBP	iii) -

17. The Company has entered into 'International Transactions' with 'Associated Enterprises' as defined in the Transfer Pricing regulations under the Indian Income Tax Act. These regulations prescribe, inter-alia, the maintenance of relevant documents and information including, furnishing a report to the Income tax authorities (within 31 October 2007) from an Accountant certifying that the International transactions during the year are at 'arms length' prices. The Company is conducting a detailed study in this regard. No tax provision has been made in these financials based on the management's opinion that the transactions with associated enterprises are arms length.

18. Quantitative Details

The company is engaged in the development and maintenance of computer software. The production and sale of such software cannot be expressed in any generic unit. Hence, it is not possible to give the quantitative details of sales and certain information as required under paragraphs 3 and 4C of part II of Schedule VI of the Companies Act, 1956

19. Previous Periods figures have been regrouped/reclassified to conform with the current grouping/classification.

Signature to Schedule 1 to 17

For **DELOITTE HASKINS & SELLS**
Chartered Accountants

S Ganesh
Partner

Place : Bangalore
Date : June 29, 2007

For and on bahalf of the Board

M. G. Ved
Chairman

Pankaj Agarwal
Director

Guhan Subramaniam
Director

Vivek Malhotra
Director

Satish Menon
Director

P Vidya Sagar
Company Secretary

Place : Bangalore
Date : June 29, 2007

CONSOLIDATED CASH FLOW STATEMENT FOR THE YEAR ENDED MARCH 31ST 2007

		For the year ended 31-3-2007 Rupees		For the year ended 31-03-2006 Rupees
CASH FLOW FROM OPERATING ACTIVITIES :				
Net Profit / (Loss) before taxation and extraordinary items		27,963,799		20,261,906
ADJUSTMENTS FOR				
Depreciation	9,907,821		9,433,891	
Exchange Difference on conversion	307,532		5,589,183	
Interest and Financial Charges	24,023,303		5,235,236	
Excess Provision Written back	-		(5,112,070)	
Net Loss on sale of Assets	18,351		224,094	
Foreign Exchange fluctuation	1,991,426		1,003,891	
Miscellaneous Expenditure Written off	30,561		183,351	
Provision for Doubtful debts/ Bad debts	6,163,914		915,507	
Interest Income	(377,946)		(814,818)	
		42,064,962		16,658,265
Operating Profit before Working Capital changes		70,028,761		36,920,171
Adjustment for movement in Goodwill & Fixed Asset		3,515,016		
ADJUSTMENTS FOR				
Trade and other receivables	(49,820,446)		31,412,998	
Trade Payables	(26,241,870)		102,592,559	
		(76,062,316)		134,005,557
Cash generated from Operations		(2,518,539)		170,925,728
Foreign Exchange	(1,991,426)		(1,003,891)	
Income Taxes Paid	(7,389,204)		(2,341,934)	
		(9,380,630)		(3,345,825)
Net Cash from operating activities		(11,899,169)		167,579,903
CASH FLOW FROM INVESTING ACTIVITIES				
Fixed Assets - Sold	3,550		110,000	
Fixed Assets - Purchased	(13,982,179)		(16,650,342)	
Expenditure incurred on acquisition	-		(143,882,335)	
Exchange Difference on conversion	(307,532)		(4,189,549)	
Interest received	377,946		1,094,960	
		(13,908,215)		(163,517,266)
Net cash used in investing activities		(13,908,215)		(163,517,266)
CASH FLOW FROM FINANCING ACTIVITIES				
Proceeds from :				
Interest Paid	(24,023,303)		(5,235,236)	
Short Term Borrowings	31,648,782		8,393,332	
Long Term Borrowing	18,499,041		-	
Dividend Payout and Corporate Tax Paid	(13,702,902)		(6,533,221)	
Net cash used in Financing activities		12,421,618		(3,375,125)
Net Increase / (Decrease) in cash		**(13,385,766)**		**687,512**
Cash and Bank Balance as on 1st April,2006 (Opening Balance)		25,557,860		24,870,348
Cash and Bank Balance as on 31st Mar, 2007 (Closing Balance)		**12,172,094**		**25,557,860**

Notes

1) The above cash flow statement has been prepared under the indirect method as set out in the Accounting Standard 3 on cash flow statement issued by ICAI

2) Cash & Cash equivalent include balances with Scheduled Banks on Dividend Accounts of Rs 384,623/ and Fixed Deposits of Rs. 5,000,000/- pledged for secured loans, which are not available for use by the Company.

3) Cash and Cash Equivalents at the year end includes Rs.693/- [Previous Year Rs.5,794] on acount of restatement of foreign currency balances.

As per our report of even date

For **DELOITTE HASKINS & SELLS**
Chartered Accountants

S Ganesh
Partner

Place : Bangalore
Date : June 29, 2007

For and on behalf of the Board

M. G. Ved
Chairman

Pankaj Agarwal
Director

Guhan Subramaniam
Director

Vivek Malhotra
Director

Satish Menon
Director

P Vidyasagar
Company Secretary

Place : Bangalore
Date : June 29, 2007

STATEMENT PURSUANT TO SECTION 212 OF THE COMPANIES ACT, 1956 RELATING TO SUBSIDIARY COMPANIES

1	**Name of the Subsidiary**	:	**Mindteck USA Inc. (Formerly Mindteck Consulting Inc)**	**Mindteck Middle East SOC**	**Mindteck Software Malaysia SND BHD**	**Mindteck BPO Services Pvt Ltd**
2	Financial year of the subsidiary ended on	:	31st March 2007	31st March 2007	31st March 2007	31st March 2007
3	Date from which it became a subsidiary	:	01st July 2001	12th July 2005	22nd December 2005	21st February, 2006
4	Shares of the Subsidiary held by the Company on the above date					
	a) Number and Face Value	:	433 Shares at No Par Value at $5000 each	500 Shares of BD 100 Par Value each	250,000 Shares of RM/1 Par Value each	50,000 Shares of Rs. 10 Par Value each
	b) Extent of Holding	:	100%	100%	100%	100%
5	Net aggregating amount of profits/(losses) of the subsidiary for the above financial year of the subsidiary so far as they concern members of the Company					
	a) dealt with in the accounts of the Company for the year ended 31st March 2007	:	NIL	NIL	NIL	NIL
	b) not dealt with in the accounts of the Company for the year ended 31st March 2007	:	Profit Rs.227.61 lacs	Loss Rs.22.48 lacs	Loss Rs.1.52 lacs	Loss Rs.0.28 lacs
6	Net aggregating amount of profits/(losses) for the previous financial years of the subsidiary, since it became a subsidiary so far as they concern members of the Company					
	a) dealt with in the accounts of the Company for the year ended 31st March 2007	:	NIL	NIL	NIL	NIL
	b) not dealt with in the accounts of the Company for the year ended 31st March 2007	:	Loss Rs.899.28 lacs	Loss Rs.25.64 lacs	Loss Rs.1.20 lacs	Loss Rs.0.18 lacs

M. G. Ved
Chairman

Satish Menon
Director

Vivek Malhotra
Director

Pankaj Agarwal
Director

Guhan Subramaniam
Director

P Vidyasagar
Company Secretary

Place: Bangalore

Date: 29 June 2007

STATEMENT PURSUANT TO SECTION 212 OF THE COMPANIES ACT, 1956 RELATING TO SUBSIDIARY COMPANIES

(In Rs Lakhs)

Name of the Subsidiary Company	Issued and Subscribed Share Capital	Reserves	Loans	Total Assets	Total Liabilities	Investments Long Term	Investments Current	Investments Total	Turnover	Profit/ (Loss) Before taxation	Provision for Taxation	Profit/ /(Loss) After taxation	Proposed Divedend
Mindteck USA Inc (Formerly Mindteck Consulting Inc.)	1445.02	(411.77)	984.60	4688.1	4688.08	-	-	-	9,163.04	246.66	23.88	227.61	16.30
Mindteck Middle East SOC	57.51	-173.16	60.88	30.38	30.38	-	-	-	107.13	(22.48)	-	(22.48)	-
Mindteck Software Malaysia SND BHD	30.16	(2.33)	-	36.7	36.7	-	-	-	50.51	(1.52)	-	(1.52)	-
Mindteck BPO Services	5.00	(0.03)	0.21	4.93	4.93	-	-	-	-	(0.28)	-	(0.28)	-

M. G. Ved
Chairman

Guhan Subramaniam
Director

Satish Menon
Director

Vivek Malhotra
Director

Pankaj Agarwal
Director

P Vidyasagar
Company Secretary

Place: Bangalore

Date: 29 June 2007

NOTICE OF ANNUAL GENERAL MEETING

NOTICE is hereby given that the Annual General Meeting of the Members of Mindteck India Limited will be held on Friday, September 28, 2007 at 4.00 p.m. at HAL Convention Centre, Airport Road, Post Marathahalli, Bangalore 560 037 to transact the following business:

AS ORIDINARY BUSINESS:

1. To receive, consider and adopt the Audited Balance Sheet as on March 31, 2007 and the Profit & Loss Account for the financial year ended on that date together with the Reports of the Directors and Auditors thereon.
2. To declare a dividend on the Equity Share Capital of the Company for the financial year ended March 31, 2007.
3. To appoint a director in place of Mr. Satish Menon, who retires by rotation and being eligible, offers himself for re-appointment.
4. To appoint Auditors to hold office from the conclusion of this meeting until the conclusion of the next Annual General Meeting and to authorize the Board of Directors to fix their remuneration.

AS SPECIAL BUSINESS:

5. To consider and if thought fit, to pass with or without modification(s), the following Resolution as an Ordinary Resolution:-

   "RESOLVED THAT Mr. Guhan Subramanaiam, who was appointed by the Board of Directors on November 7, 2006 as an Additional Director pursuant to Article 114(a) of the Articles of Association of the Company and whose term expires at this Annual General Meeting and in respect of whom the Company has received a notice under section 257 of the Companies Act, 1956 from a member proposing his candidature to the office of Director, be and is hereby appointed as a Director of the Company, whose period of office shall be liable to determination by retirement by rotation."

6. To consider and if thought fit, to pass with or without modification(s), the following Resolution as an Ordinary Resolution:-

   "RESOLVED THAT Mr. Pankaj Agarwal, who was appointed by the Board of Directors on February 9, 2007 as an Additional Director pursuant to Article 114(a) of the Articles of Association of the Company and whose term expires at this Annual General Meeting and in respect of whom the Company has received a notice under section 257 of the Companies Act, 1956 from a member proposing his candidature to the office of Director, be and is hereby appointed as a Director of the Company, whose period of office shall be liable to determination by retirement by rotation."

7. To consider and if thought fit, to pass with or without modification(s), the following Resolution as an Ordinary Resolution:-

   "RESOLVED THAT Mr. Vivek Malhotra, who was appointed by the Board of Directors on February 9, 2007 as an Additional Director pursuant to Article 114(a) of the Articles of Association of the Company and whose term expires at this Annual General Meeting and in respect of whom the Company has received a notice under section 257 of the Companies Act, 1956 from a member proposing his candidature to the office of Director, be and is hereby appointed as a Director of the Company, whose period of office shall be liable to determination by retirement by rotation."

8. To consider and if thought fit, to pass, with or without modification(s), the following Resolution as a Special Resolution:

   "RESOLVED THAT pursuant to the provisions of sections 198, 269, 310, 311, 312, 317, 386, 387 read with Schedule XIII and all other applicable provisions, if any, of the Companies Act, 1956 and pursuant to the recommendation of the HR & Compensation Committee and subject to approval of the Company's shareholders in general meeting and further subject to the approval of Central Government and all other approvals as may be necessary, Mr. Shankar Velayudhan be and is hereby appointed as the 'Manager' of the Company for a period of three years with effect from January 30, 2007 on the remuneration and on such other terms and conditions as contained in the contract entered into by the Company with him."

   "RESOLVED FURTHER THAT the remuneration recommended by the HR & Compensation Committee and accepted by the Board, as also the intrinsic value of stock options granted to Mr. Shankar Velayudhan, will together be deemed to be the minimum remuneration that would be paid by the Company to Mr. Velayudhan even in the event of absence or inadequacy of profits of the Company in any year of his tenure as its Manager."

   "RESOLVED FURTHER THAT Mr. M.G. Ved, Chairman of the Board of Directors and Mr. P. Vidya Sagar, Company Secretary, be and are hereby severally authorized to execute the said contract, on behalf of the Company, with Mr. Shankar Velayudhan."

   "RESOLVED FURTHER THAT the Company's Directors and Mr. P. Vidya Sagar, Company Secretary, be and are hereby severally authorized to execute, on behalf of the Company, all necessary applications to the Central Government, statutory forms, returns, clarifications, etc. in this regard."

"RESOLVED FURTHER THAT Mr. P. Vidya Sagar, Company Secretary, be and is hereby authorized to make the application to Central Government seeking approval to the said appointment and payment of remuneration to Mr. Shankar Velayudhan and file all other e- forms, documents, letters, clarifications, representations, etc. in this regard."

9. To consider and if thought fit, to pass, with or without modification(s), the following Resolution as a Special Resolution

"**RESOLVED THAT** in accordance with the provisions of Section 94 of the Companies Act, 1956 and other applicable provisions, if any, of the Companies Act, 1956, the Authorised Share Capital of the Company of Rs. 200,000,000 (Rupees Two Hundred Million Only) divided into 15,000,000 (Fifteen Million) Equity Shares of Rs.10/- (Rupees Ten only) each aggregating Rs. 150,000,000/- (Rupees One Hundred Fifty Million Only) and 500,000 (Five Hundred Thousand only) Preference Shares of Rs. 100/- each (Rupees Hundred only) aggregating Rs. 50,000,000 (Rupees Fifty Million only) be increased to Rs. 330,000,000 (Rupees Three Hundred Thirty Million only) divided into 28,000,000 (Twenty Eight Million only) Equity Shares of Rs.10/- (Rupees Ten only) each aggregating Rs. 280,000,000 (Rupees Two Hundred Eighty Million Only) and 500,000 (Five Hundred Thousand only) Preference Shares of Rs. 100/- each (Rupees Hundred only) aggregating Rs. 50,000,000 (Rupees Fifty Million only) ."

"**RESOLVED FURTHER THAT Clause V** of the Memorandum of Association of the Company be and is hereby substituted by the following: -

"Clause V: - *The Authorised Capital of the Company is Rs. 33*0,000,000 (Rupees Three Hundred Thirty Million only) divided into 28,000,000 (Twenty Eight Million only) Equity Shares of Rs.10/- each (Rupees Ten only) aggregating Rs. 280,000,000/- (Rupees Two Hundred Eighty Million Only) and 500,000 (Five Hundred Thousand only) Preference Shares of Rs. 100/- each (Rupees Hundred only) aggregating Rs. 50,000,000 (Rupees Fifty Million only).

"**RESOLVED FURTHER THAT** Article 3 of the Articles of Association of the Company be and is hereby substituted by the following: -

"*The Authorised Capital of the Company is* Rs. 330,000,000 (Rupees Three Hundred Thirty Million only) divided into 28,000,000 (Twenty Eight Million only) Equity Shares of Rs.10/- (Rupees Ten only) each aggregating Rs. 280,000,000/- (Rupees Two Hundred Eighty Million Only) and 500,000 (Five Hundred Thousand only) Preference Shares of Rs. 100/- each (Rupees Hundred only) aggregating Rs. 50,000,000 (Rupees Fifty Million only)."

10. To consider and if thought fit, to pass, with or without modification(s), the following Resolution as a Special Resolution:

"**RESOLVED THAT** pursuant to the provisions of Section 81(1A) and other applicable provisions, if any, of the Companies Act, 1956 (including the rules and regulations thereunder and any statutory modification, amendments or re-enactment of the principal act or such rules and regulations for the time being in force) and in accordance with the provisions of the Articles of Association and the Memorandum of Association of the Company and such rules, guidelines and regulations, if any, as may be prescribed by the Securities and Exchange Board of India ("SEBI"), and any and all other concerned and relevant authorities to the extent applicable, from time to time and subject to such approvals, consents, permissions and sanctions of SEBI and any and all other appropriate authorities, institutions or bodies as may be required, and subject to such conditions and modifications as may be prescribed by any of them while granting such approvals, consents, permissions and sanctions, the Board of Directors of the Company (the "Board", which expression shall be deemed to include person(s) authorised or any committee(s) constituted/to be constituted by the Board to exercise its powers including the powers conferred by this Resolution) is hereby authorised, on behalf of the Company, to create, offer and allot up to 5,000,000 Equity Shares of Rs. 10/- each to certain banks, financial institutions, body corporates, foreign institutional investors and/or high networth individual on a private / preferential placement basis at a price not less than the minimum price as may be determined in accordance with the SEBI (Disclosure and Investor Protection) Guidelines, 2000 for an aggregate amount of up to Rs. 40 crores."

"**RESOLVED FURTHER THAT** that the Equity Shares resolved to be offered and allotted per the foregoing resolutions shall be allotted at the earlier of 15 days from the date of this resolution or 15 days from the date of receipt of any approval of the Securities and Exchange Board of India or any other authority as may be required."

"**RESOLVED FURTHER THAT** (i) the Equity Shares to be so offered and allotted to the said banks, financial institutions, body corporates, foreign institutional investors and/or high networth individuals shall be in dematerialised form and shall be subject to the provisions of the Memorandum and Articles of Association of the Company; (ii) the Equity Shares shall rank pari passu with the existing Equity Shares of the Company in all respects including as to dividend; and (iii) the relevant date for the preferential issue, as per the SEBI (Disclosure & Investor Protection) Guidelines, 2000, as amended up to date, for the determination of applicable price for the issue of the abovementioned Equity Shares is 30 days prior to the date of this Annual General Meeting."

"**RESOLVED FURTHER THAT** for the purpose of giving effect to the foregoing resolutions the Board be and is hereby authorized and directed to execute such deeds, documents, and agreements and do all such acts, deeds, matters, or things as it in its sole discretion may deem necessary or desirable for such purpose without being required to seek any further consent or approval of the Company or otherwise to the extent that the Shareholders shall be deemed to have given their approval hereto expressly by the authority of this resolution and with power on behalf of the Company to settle any question, difficulty, or doubt that may arise in this regard as it may in its absolute discretion deem fit and proper, including without limitation the power to agree to any amendment, alteration, or modification to the terms of the investment and the issue of the Equity Shares."

BY ORDER OF THE BOARD
For Mindteck (India) Limited

P. Vidya Sagar
Company Secretary

Registered Office:
16/3, Cambridge Road,
Ulsoor, Bangalore 560008.

September 3, 2007

NOTES:

A MEMBER ENTITLED TO ATTEND AND VOTE AT THE MEETING IS ENTITLED TO APPOINT A PROXY TO ATTEND AND VOTE INSTEAD OF HIMSELF AND THE PROXY NEED NOT BE A MEMBER. THE INSTRUMENT APPOINTING PROXY SHOULD HOWEVER BE DEPOSITED AT THE REGISTERED OFFICE OF THE COMPANY NOT LESS THAN FORTY-EIGHT HOURS BEFORE THE COMMENCEMENT OF THE MEETING.

The Auditor's Certificate that the above preferential issue is in accordance with the SEBI (Disclosure & Investor Protection) Guidelines, 2000, on preferential issues and the Memorandum & Articles of Association of the Company will be open for inspection at the registered office of the Company during working hours between 9.30 a.m. and 1.00 p.m., except on holidays up to the date of the Annual General Meeting. Copies of the above mentioned Certificate shall also be laid before the Annual General Meeting.

The relative Explanatory Statement pursuant to section 173 (2) of the Companies Act, 1956, in respect of the resolutions set out above is annexed hereto.

The Register of Members and Share transfer Books shall remain closed from September 20, 2007 to September 28, 2007 (both days inclusive) for the purpose of Annual General Meeting.

Dividend if declared will be paid on or before October 3, 2007 to those Members whose names appear on the Company's Register of Members as on September 28, 2007 subject however to the provisions of Section 206A of the Companies Act, 1956. In respect of shares held in electronic form, dividend will be payable on the basis of ownership as per details furnished by NSDL and CDSL for this purpose.

Members (those holding shares in the physical form only) are requested to intimate change of address, if any, to the Company's Registrars, M/s Mondkar Computers Pvt. Ltd. at 21, Shakil Niwas, Mahakali Caves Road, Andheri (East), Mumbai – 400 093.

Members desiring any information relating to the Company's Accounts are requested to write to the Company at an early date so as to enable the Management to keep the information ready.

A blank Attendance Slip is annexed to the Proxy Form. Members are requested to fill up the particulars of the attendance slip, affix their signature in the appropriate place and hand it over to the Company's officials/Registrars at the entrance of the Meeting venue.

BY ORDER OF THE BOARD
For Mindteck (India) Limited

P. Vidya Sagar
Company Secretary

Registered Office:
16/3, Cambridge Road,
Ulsoor, Bangalore 560008.

September 3, 2007

ANNEXURE TO THE NOTICE

INFORMATION PURSUANT TO CLAUSE 49 OF THE LISTING AGREEMENT REGARDING RE-APPOINTMENT OF DIRECTOR

Item No. 3 – Appointment of Mr. Satish Menon as Director of the Company

Mr. Satish Menon was appointed as an Additional Director on the Company's Board with effect from February 28, 2005.

Brief particulars of Mr. Satish Menon are given below:

Mr. Satish Menon, aged 49 years, is a Fellow Member of ICSI and has industry experience of 25 years in the aggregate, including eighteen years with Wipro Ltd. finishing as its Corporate Vice President Legal and Company Secretary. He is currently an independent legal practitioner located out of Bangalore.

Mr. Menon, with his vast experience in the fields of mergers, acquisitions, corporate governance, ethical practices & general commercial transactions, is expected to be of immense value to the Company's Board.

Mr. Menon is an independent, non-executive director on the Company's board.

Mr. Menon is on the Board of Quatrro Knowledge Solutions Pvt. Ltd. He is also a member of Audit Committee, HR & Compensation Committee and Shareholders/Investors Grievance Committee of Mindteck (India) Ltd.

Item No. 4 – Appointment of Statutory Auditors of the Company

The Company's statutory auditors, M/s. Deloitte Haskins & Sells, Chartered Accountants, who retire at the ensuing Annual General Meeting, have expressed their inability to continue as the Company's Statutory Auditors on grounds of conflict of interest since Infotech Consulting Inc., a promoter group company has Deloitte Consulting Outsourcing LLC as one of its largest customers in the US.

The Company proposes to appoint M/s BSR & Company, Chartered Accountants, Bangalore, as its statutory auditors for the financial year 2007-08 to replace M/s Deloitte, Haskins & Sells as its Statutory Auditors. M/s BSR & Company, is a reputed firm of chartered accountants and is expected to bring in the requisite audit expertise that will meet the Company' audit and tax advisory needs.

EXPLANATORY STATEMENT PURSUANT TO SECTION 173 (2) OF THE COMPANIES ACT, 1956.

Item No. 5 – Appointment of Mr. Guhan Subramaniam as Director of the Company

Mr. Guhan Subramaniam was appointed as an Additional Director on the Company's Board with effect from November 7, 2006. Pursuant to the Company's Articles of Association read with Section 260 of the Companies Act, 1956, Mr. Subramaniam will hold office until the date of this Annual General Meeting.

The Company has received notice together with the required deposit under Section 257 of the Companies Act, 1956 from a member indicating his intention to propose Mr. Subramaniam as Director of the Company. Mr. Subramaniam has filed his consent to act as Director, if appointed.

Brief particulars of Mr. Subramaniam are given below:

Mr. Guhan Subramaniam is the Managing Partner at IL&FS Investment Managers Ltd (IIML). IIML, the private equity affiliate of IL&FS Group, is India's second largest domestic private equity investment fund manager.

Mr. Subramaniam has 28 years of multi functional, multi industry operations experience .His experience has predominantly been in Information Technology and Software Solutions, products & services business, both in India & global markets with a successful and consistent management career spanning Sales, Marketing, Business Development, Human Resources Development, Business planning and eventually as Head of Operations .He has held Senior management & leadership Positions such as COO , Vice President & General Manager with leading Corporations in India such as Wipro Infotech Ltd., BPL Innovision Group, ALIT, HCL Ltd., PSI data Systems Ltd, Modi Xerox Ltd.(a Xerox joint venture) and Godrej & Boyce Ltd.

Mr. Subramaniam is on the board of six companies: Sun Electronics Ltd, Cygsoft Limited, iMetrx Technologies Ltd, IPF Online Ltd., Midas Communication Technologies Pvt. Ltd., iMetrex Technologies Ltd, EBS Worldwide Services Pvt. Ltd & Learnet India Ltd., GSS America Infotech Ltd., Sark Sysytems India Ltd.

The Company's Board is of the opinion that Mr. Subramaniam's presence on the Board will be of immense benefit to the Company. Having regard to his wide experience, the Company's Board recommends the appointment of Mr. Subramaniam as an ordinary director of the Company, liable to retire by rotation.

Ordinary Resolution as set out above in Item No. 5 is recommended for shareholders' approval.

None of the Directors of the Company, except Mr. Guhan Subramaniam, is in any way concerned or interested in the resolution.

Item No. 6 - Appointment of Mr. Pankaj Agarwal as Director of the Company

Mr. Pankaj Agarwal was appointed as an Additional Director on the Company's Board with effect from February 9, 2007. Pursuant to the Company's Articles of Association read with Section 260 of the Companies Act, 1956, Mr. Agarwal will hold office until the date of this Annual General Meeting.

The Company has received notice together with the required deposit under Section 257 of the Companies Act, 1956 from a member indicating his intention to propose Mr. Agarwal as Director of the Company. Mr. Agarwal has filed his consent to act as Director, if appointed.

Brief particulars of Mr. Pankaj Agarwal are given below:

Mr. Pankaj Agrawal, Director of the Company, started his career as a Software Engineer with CMC Limited, a prominent public sector enterprise in India and traveled widely through Asia and Africa for the implementation of software applications for UNICEF. He has a versatile experience of 20 years as a software engineer, project manager, leading a line of business, and heading up an organization - Infotech Consulting Inc.- as its CEO.

Mr. Pankaj Agarwal, currently based in the US, was the finalist in the 2003 E & Y Entrepreneur of the year award. He has been serving on the IT Advisory Board of Penn State University, Harrisburg since 2002, and is on the Board of Trustees for Harrisburg Science and Technology University.

The Company's Board is of the opinion that Mr. Agarwal's presence on the Board will be of immense benefit to the Company. Considering his industry expertise and knowledge of the US software services market, the Company's Board recommends the appointment of Mr. Agarwal as an ordinary director of the Company, liable to retire by rotation.

Ordinary Resolution as set out above in Item No. 6 is recommended for shareholders' approval.

None of the Directors of the Company, except, Mr. Pankaj Agarwal, is in any way concerned or interested in the resolution.

Item No. 7

Mr. Vivek Malhotra was appointed as an Additional Director on the Company's Board with effect from February 9, 2007. Pursuant to the Company's Articles of Association read with Section 260 of the Companies Act, 1956, Mr. Malhotra will hold office until the date of this Annual General Meeting.

The Company has received notice together with the required deposit under Section 257 of the Companies Act, 1956 from a member indicating his intention to propose Mr. Malhotra as Director of the Company. Mr. Malhotra has filed his consent to act as Director, if appointed.

Mr. Vivek Malhotra is a qualified Chartered Accountant. Mr. Malhotra has significant international experience of working in various positions in Kenya, Zambia, Tanzania, Sudan, Sri Lanka, Nepal and Uganda in the course of his career. He has worked in various capacities with organizations such as USAID, PSI, KfW and John Hopkins University Centre for communications program.

Mr. Malhotra is currently on the Board of Population Health Services (India) & Meridian Outsourcing Private Limited.

The Company's Board is of the opinion that Mr. Malhotra's presence on the Board will be of immense benefit to the Company. Having regard to his wide experience, the Company's Board recommends the appointment of Mr. Malhotra as an ordinary director of the Company, liable to retire by rotation.

Ordinary Resolution as set out above in Item No. 7 is recommended for shareholders' approval.

None of the Directors of the Company, except, Mr. Vivek Malhotra, is in any way concerned or interested in the resolution.

Item No. 8

Mr. Shankar Velayudhan has been appointed as the 'Manager' of the Company under the Companies Act, 1956 with effect from January 30, 2007.

Mr. Velayudhan is the Executive Vice President responsible for Mindteck's Indian Operations and also heads the Embedded Systems business of Mindteck.

He joined Mindteck in the year 2000 and comes with a strong product engineering background in Industrial Automation, Test and Measurement and Networking protocols. At Mindteck, he has played a key role in setting up of competency centers in specific and niche embedded domains.

Mr. Shankar Velayudhan has been entrusted with the management of the affairs of the Company, subject to the superintendence, control and direction of the Board of Directors, especially in the areas of strategic planning for business growth, new initiatives in emerging technology areas and human resource development.

Mr. Shankar has been designated as the Head of Indian Operations and is ultimately responsible to the Company's Board and the Shareholders for the growth in its revenues and profits.

The HR & Compensation Committee of the Board has recommended that Mr. Shankar Velayudhan be paid the remuneration as disclosed below at II (c) under the head "Proposed Remuneration" with effect from January 30, 2007 which recommendation has been accepted and approved by the Board, subject to the approvals of the shareholders and the Central Government.

The following additional disclosures are for the information of the Company's shareholders:

(iv) Proposed time within which allotment will be completed:

As required under the SEBI Guidelines, the allotment as aforesaid is proposed to be made within 15 (fifteen) days from the date of passing of this resolution or in the event allotment of Equity Shares would require any approval(s) from any regulatory authority or the Central Government, within 15 (fifteen) days from the date of such approval(s), as the case may be.

(v) **Identity of the proposed allottees and the percentage of post preferential issued capital that may be held by the said allottees:**

Identity of proposed allottees	No. of Equity Shares to be allotted	% of post issue equity capital
Indian / foreign banks, FIIs, HNIs, FIs and bodies corporate	upto 5,000,000	33.95

The Auditor's Certificate that the above preferential issue is in accordance with the SEBI (Disclosure & Investor Protection) Guidelines, 2000, on preferential issues and the Memorandum & Articles of Association of the Company will be open for inspection at the registered office of the Company during working hours between 9.30 a.m. and 1.00 p.m., except on holidays up to the date of the Annual General Meeting. Copies of the above mentioned Certificate shall also be laid before the Annual General Meeting.

The Special Resolution as set out above in Item No. 10 is recommended for shareholders' approval.

None of the Directors is concerned or interested in the resolution.

BY ORDER OF THE BOARD
For Mindteck (India) Limited

P. Vidya Sagar
Company Secretary

Registered Office:
16/3, Cambridge Road,
Ulsoor, Bangalore 560008.

September 3, 2007